VALUATION FY2017-PRESENT

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VALUATION SUMMARY

KEY POINTS

NVIDIA has demonstrated that **platform continuity, software leverage, and a one-year architecture cadence** — sustained across three decades — can compound into category-defining dominance.

Source: NVIDIA FY2026 Valuation

PLATFORM & CUDA MOAT

CUDA's 20-year flywheel — Breakthroughs, Developers, Installed Base, Ecosystems — has made NVIDIA's platform self-reinforcing across every hardware generation.

DATA CENTER

Hyperscalers and sovereign nations are building AI factories at scale, with multi-year CapEx commitments extending demand visibility well beyond a single product cycle.

GAMING & AI PC

Early GPU leadership compounded into sustained momentum through consistent architecture improvements, cloud gaming, and a widening developer ecosystem.

AUTOMOTIVE & ROBOTICS

Physical AI has emerged as a fast-growing business, with leading manufacturers adopting NVIDIA's three-computer architecture across training, simulation, and deployment.

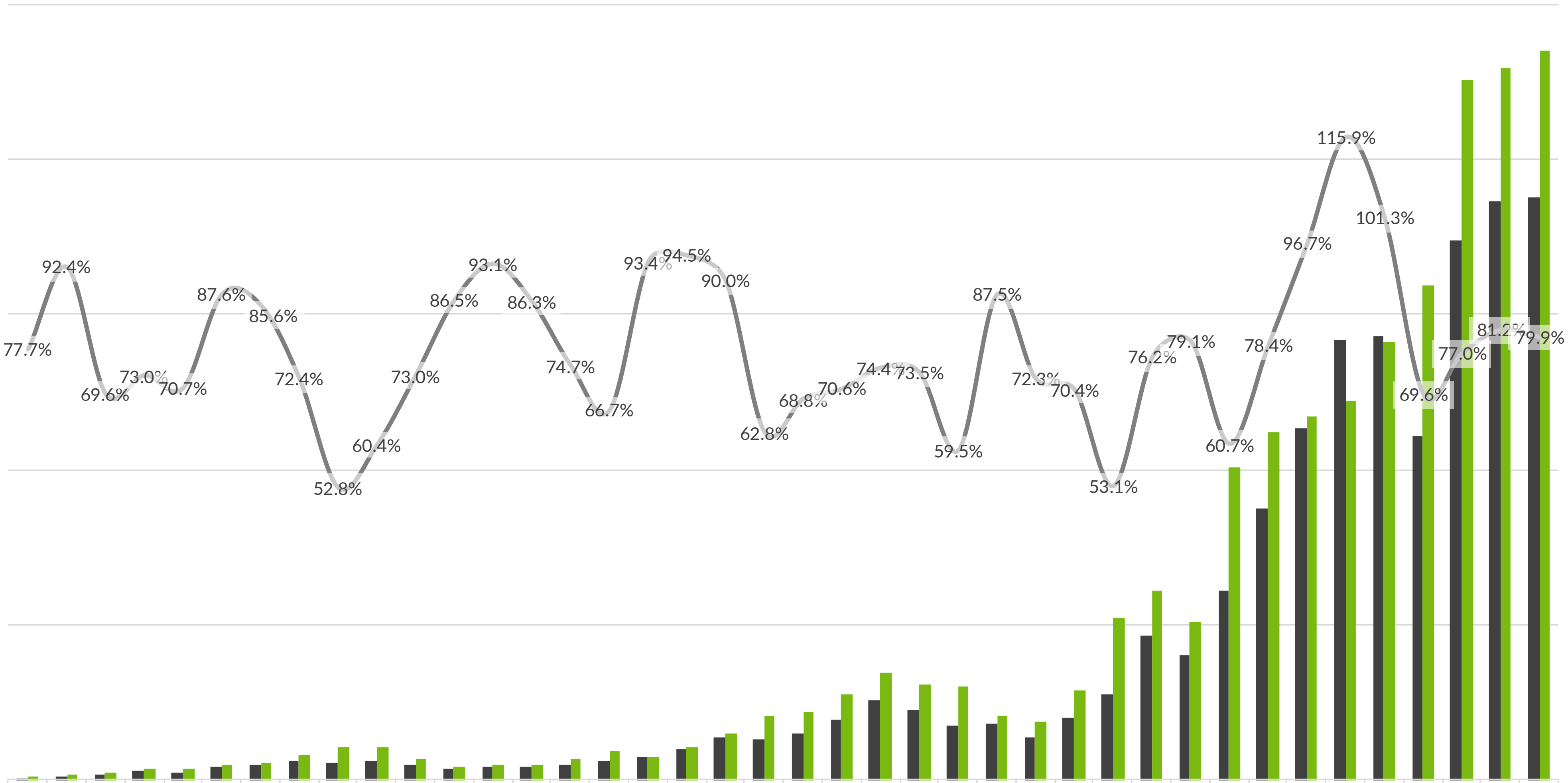
PROFESSIONAL VISUALIZATION

Engineers and developers increasingly rely on NVIDIA for AI-driven simulation and digital twins, deepening lock-in across manufacturing, automotive, and industrial design.

RISKS TO MONITOR

Geopolitical restrictions, supply chain concentration, energy constraints, and Chinese open-source models optimized for domestic silicon are material long-term considerations.

Intrinsic Value vs Real Value Over The Years



	Q1 2017	Q2 2017	Q3 2017	Q4 2017	Q1 2018	Q2 2018	Q3 2018	Q4 2018	Q1 2019	Q2 2019
PRICE	0.89	1.43	1.76	2.79	2.61	4.11	5.05	6.08	5.66	6.30
INSTRINSIC VALUE	1.14	1.54	2.53	3.83	3.69	4.69	5.89	8.41	10.7	10.4
Value/ Price	77.7%	92.4%	69.6%	73.0%	70.7%	87.6%	85.6%	72.4%	52.8%	60.4%

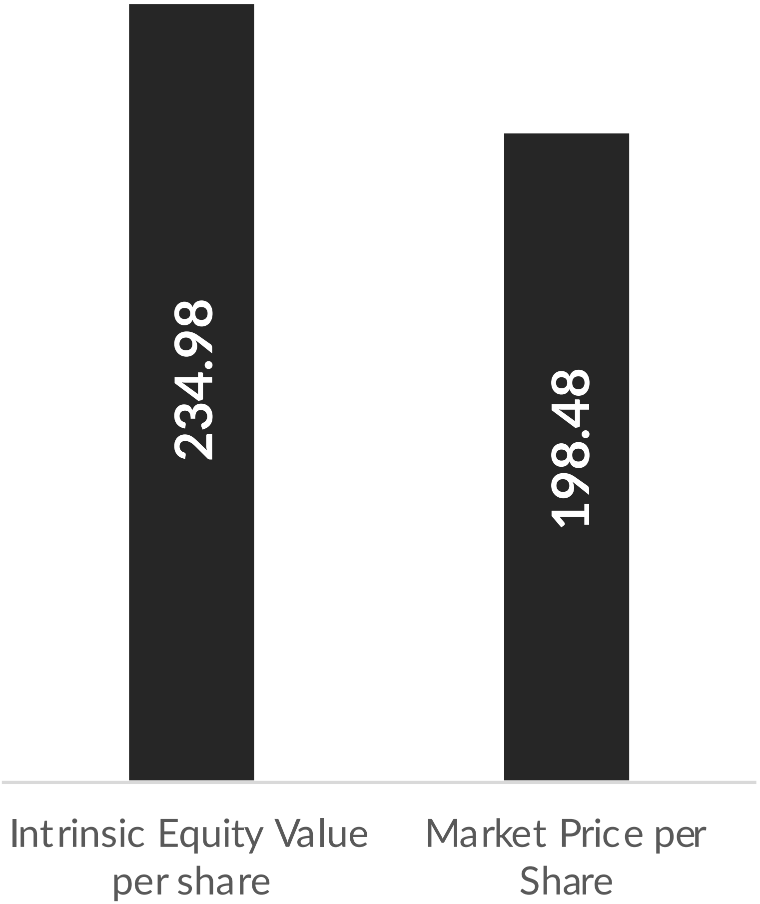
	Q3 2019	Q4 2019	Q1 2020	Q2 2020	Q3 2020	Q4 2020	Q1 2021	Q2 2021	Q3 2021	Q4 2021
PRICE	4.96	4.00	4.45	4.38	5.11	6.26	7.24	10.1	13.5	12.9
INSTRINSIC VALUE	6.79	4.63	4.78	5.07	6.84	9.39	7.75	10.7	15.1	20.7
Value/ Price	73.0%	86.5%	93.1%	86.3%	74.7%	66.7%	93.4%	94.5%	90.0%	62.8%

	Q1 2022	Q2 2022	Q3 2022	Q4 2022	Q1 2023	Q2 2023	Q3 2023	Q4 2023	Q1 2024	Q2 2024
PRICE	15.0	19.5	25.5	22.8	17.8	18.1	13.8	20.3	27.7	46.7
INSTRINSIC VALUE	21.8	27.6	34.3	31.0	30.0	20.7	19.1	28.9	52.2	61.3
Value/ Price	68.8%	70.6%	74.4%	73.5%	59.5%	87.5%	72.3%	70.4%	53.1%	76.2%

	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026	Q4 2026
PRICE	40.5	61.0	87.7	113.	141.	142.	111.	173.	186.	187.
INSTRINSIC VALUE	51.2	100.	111.	116.	122.	140.	159.	225.	229.	234.
Value/ Price	79.1%	60.7%	78.4%	96.7%	115.9	101.3	69.6%	77.0%	81.2%	79.9%

Adjusted all values for 10:1 split in FY2025 Q1

Value of the Company Today



84.5%

PRICE AS % OF VALUE

Market Close Date: May 4, 2026

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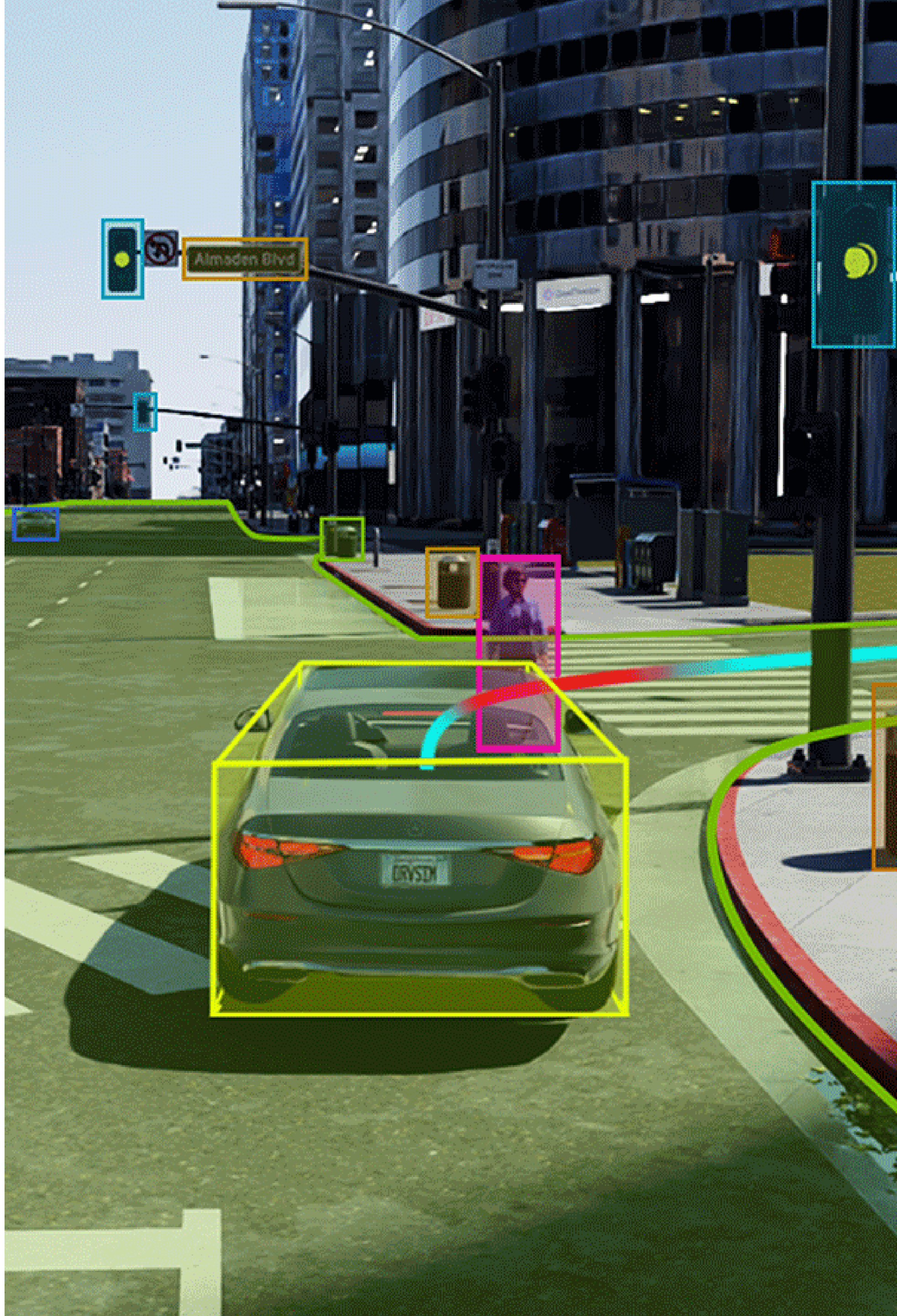
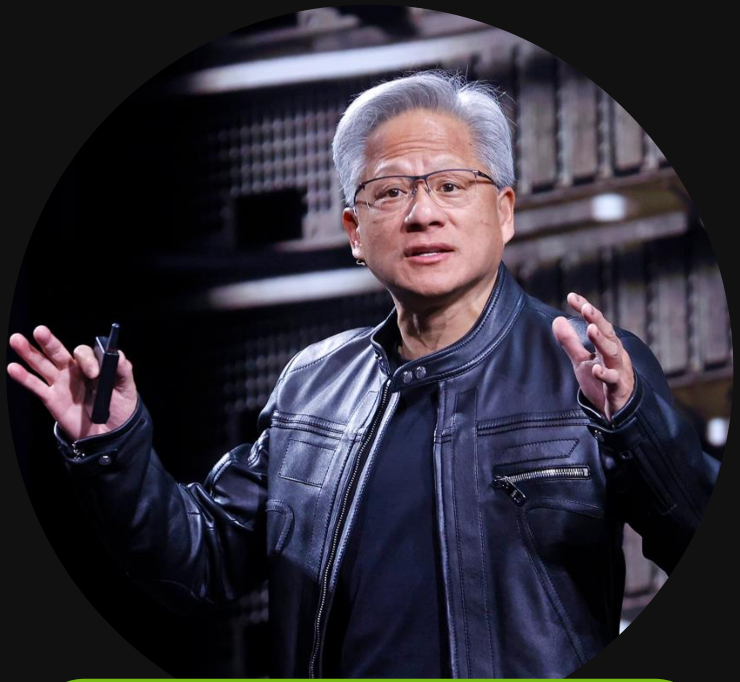


BUSINESS OVERVIEW

BUSINESS OVERVIEW

WHO IS NVIDIA

American technology company that designs full stack solutions to dramatically accelerate computing.



JENSEN HUANG

President, Founder & CEO

FOUNDED APRIL 1993

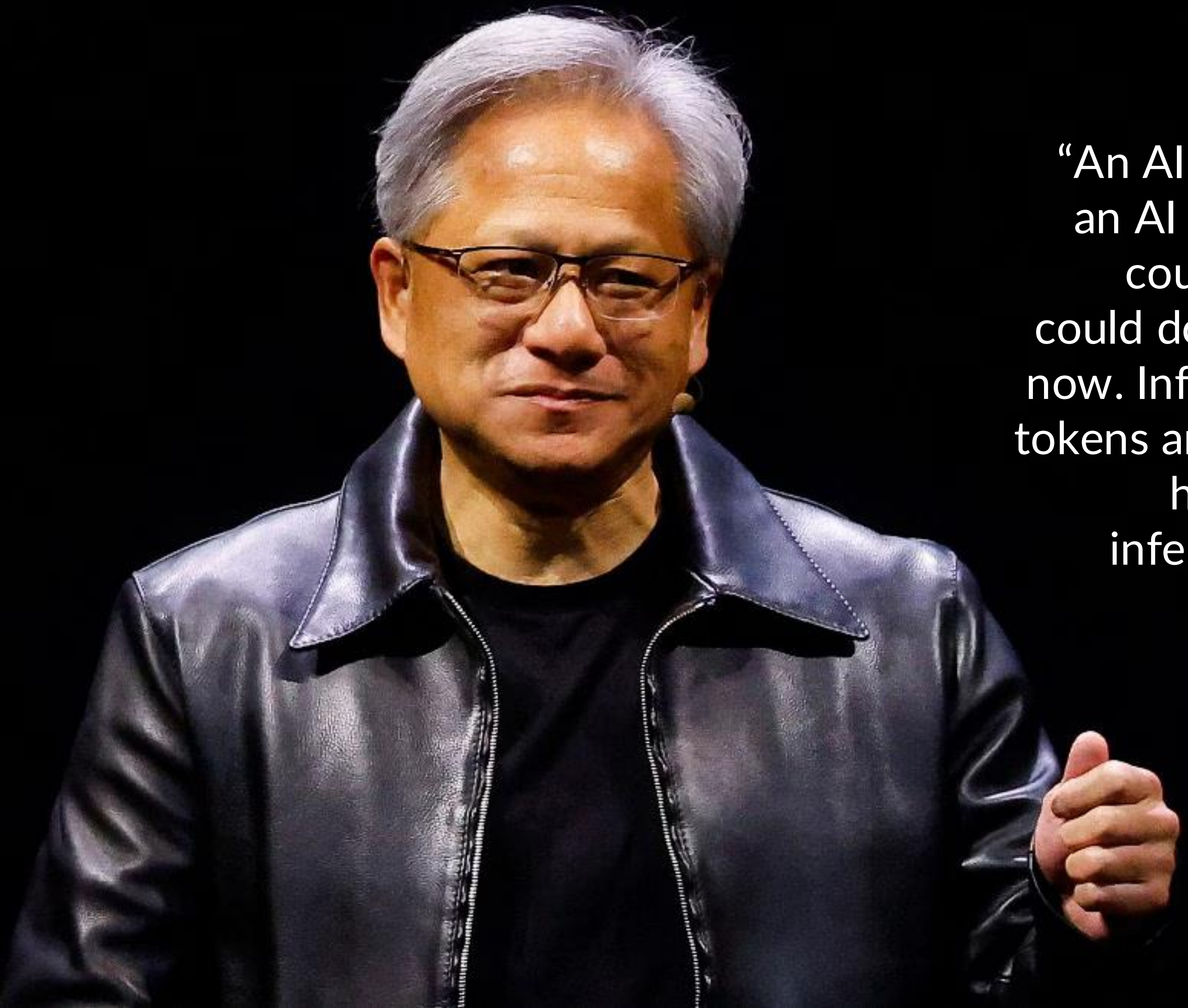
ABOUT JENSEN

Jensen Huang founded NVIDIA in 1993 and has served since its inception as president, chief executive officer, and a member of the board of directors.

Since its founding, NVIDIA has pioneered accelerated computing. The company's invention of the GPU in 1999 sparked the growth of the PC gaming market, redefined computer graphics, and ignited the era of modern AI. NVIDIA is now driving the platform shift of accelerated computing and generative AI, transforming the world's largest industries, and profoundly impacting society.

Huang is a recipient of the Semiconductor Industry Association's highest honor, the Robert N. Noyce Award; IEEE Founder's Medal; the Dr. Morris Chang Exemplary Leadership Award; and honorary doctorate degrees from Taiwan's National Chiao Tung University, National Taiwan University, and Oregon State University. He has been named the world's best CEO by Harvard Business Review and Brand Finance, as well as Fortune's Businessperson of the Year and one of TIME magazine's 100 most influential people.

Source: Nvidia Executive Bios



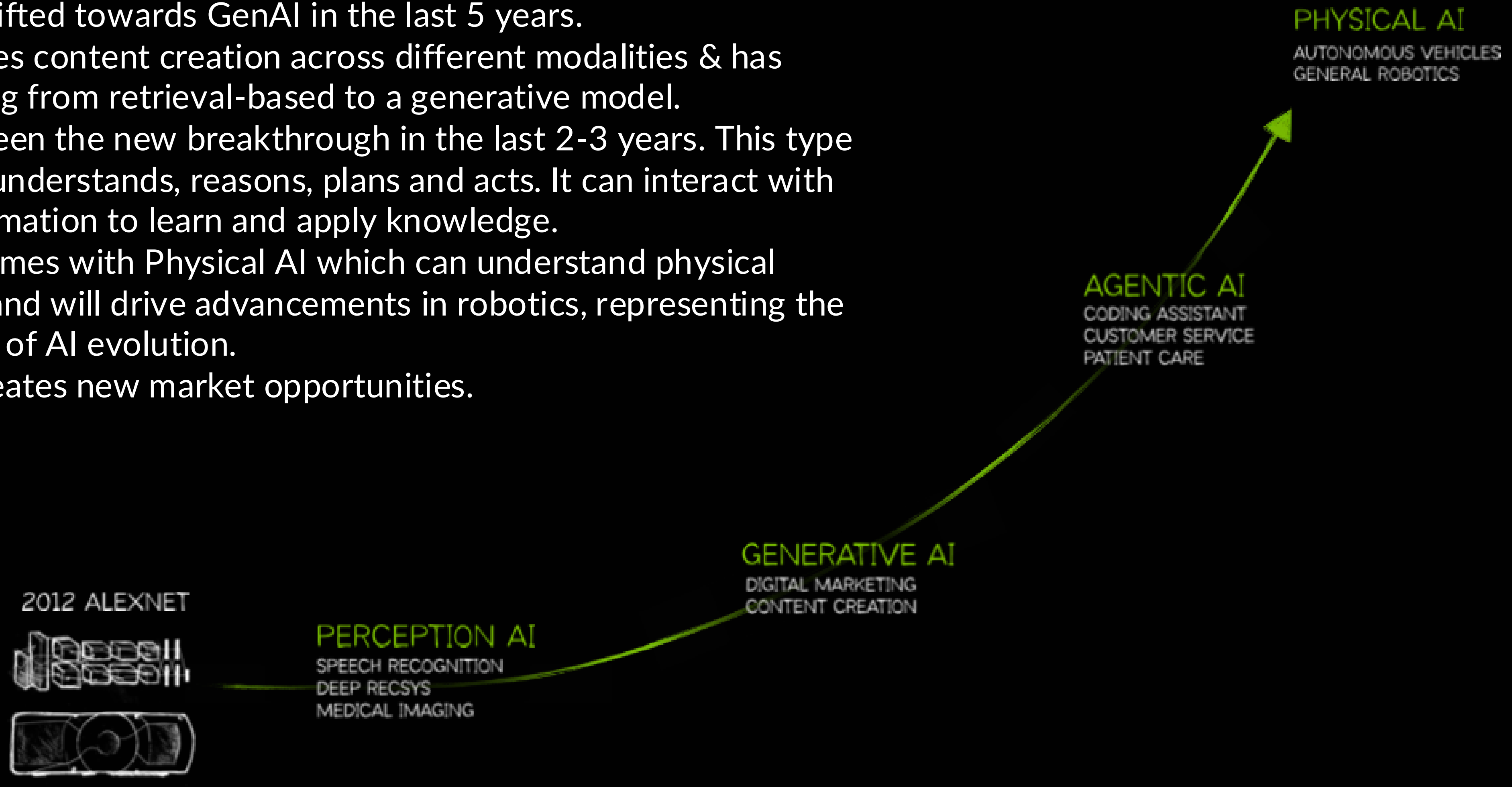
“An AI that could generate became an AI that could reason, an AI that could reason became an AI that could do work. It's way past training now. Inference is your workload and tokens are your new commodity. We have reached that moment — inference inflection has arrived.”

JENSEN HUANG
FOUNDER & CEO OF NVIDIA

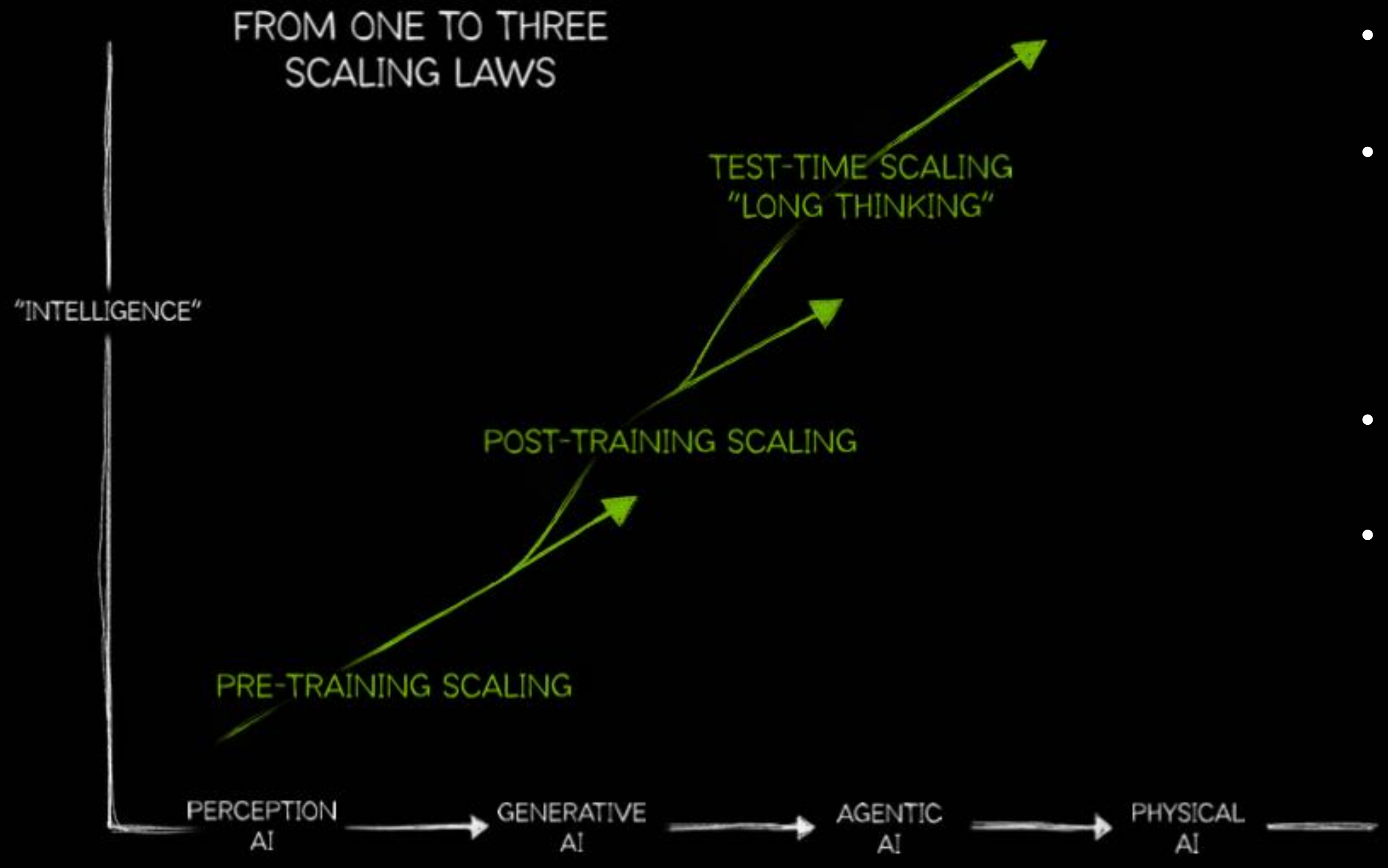
Source: GTC 2026

The Evolution of AI

- AI has been talked about over the last 10 years where its focus was more on perception AI (computer vision + speech recognition).
- The focus has shifted towards GenAI in the last 5 years.
- GenAI has enables content creation across different modalities & has shifted computing from retrieval-based to a generative model.
- Agentic AI has been the new breakthrough in the last 2-3 years. This type of AI perceives, understands, reasons, plans and acts. It can interact with multimodal information to learn and apply knowledge.
- The next shift comes with Physical AI which can understand physical world concepts and will drive advancements in robotics, representing the next major wave of AI evolution.
- Each AI wave creates new market opportunities.



Source: NVIDIA GTC 2025 presentation



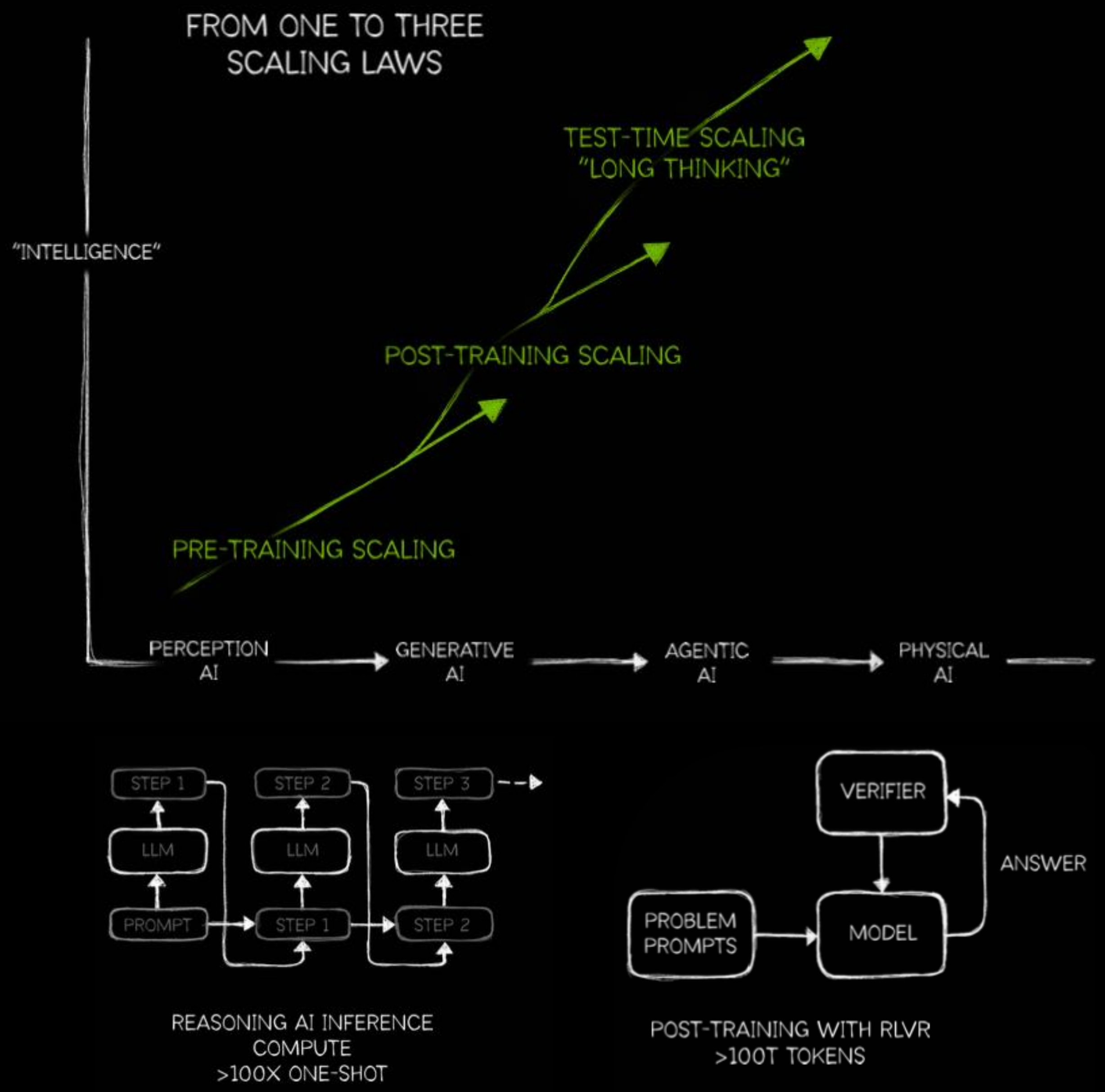
AI Scaling Laws

- AI is data-driven and requires vast amounts of digital experience to learn.
- Every day we require better performance out of AI and human involvement limits AI's learning potential – AI must learn at superhuman speeds.
- AI should improve as more resources are allocated.
- Agentic AI and reasoning significantly increase computational demand.

Source: NVIDIA GTC 2025 presentation

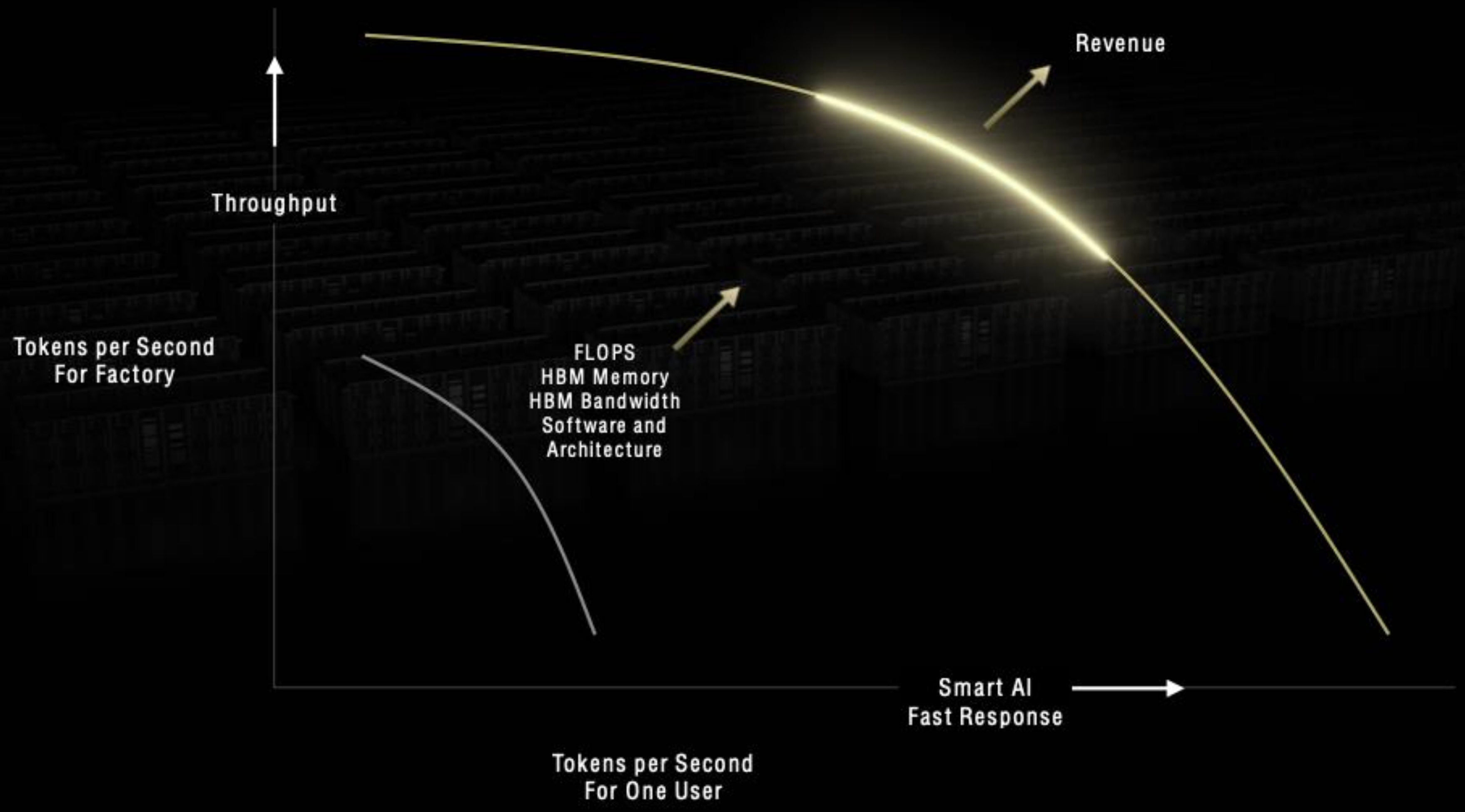
AI Reasoning

- AI can now reason step-by-step instead of giving one-shot responses.
- While in reasoning, AI still predicts the next token, but now within structed reasoning steps. As more tokens are generated, the need for compute increase.
- To keep AI responsive, it must compute 10x more tokens and process them 10x faster, resulting in 100x workload increase.
- AI is trained using reinforcement learning with verifiable results using structured problems like math, logic, geometry, and puzzle games.
- AI is also being trained in synthetic data, reducing the reliance on human-labeled data but increasing the computing needs as it generated tokens to create it.



Source: NVIDIA GTC 2025 presentation

Inference at scale is an extreme computing problem



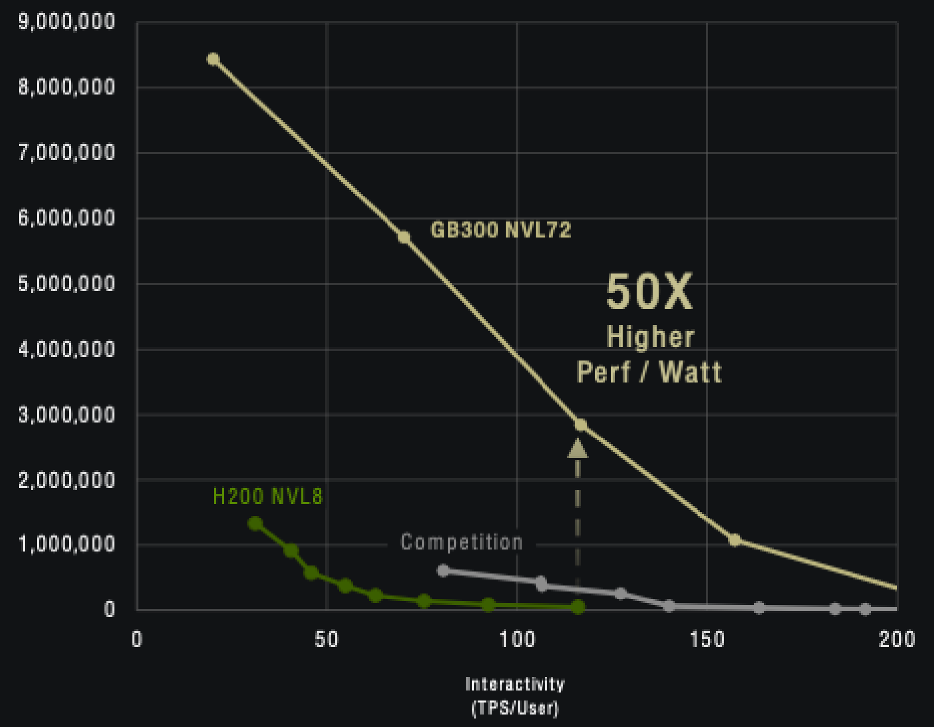
AI inference is an extreme computing challenge, crucial for efficiency, revenue, and quality of service. It relies on generating tokens, which improve reasoning but must be fast to retain users.

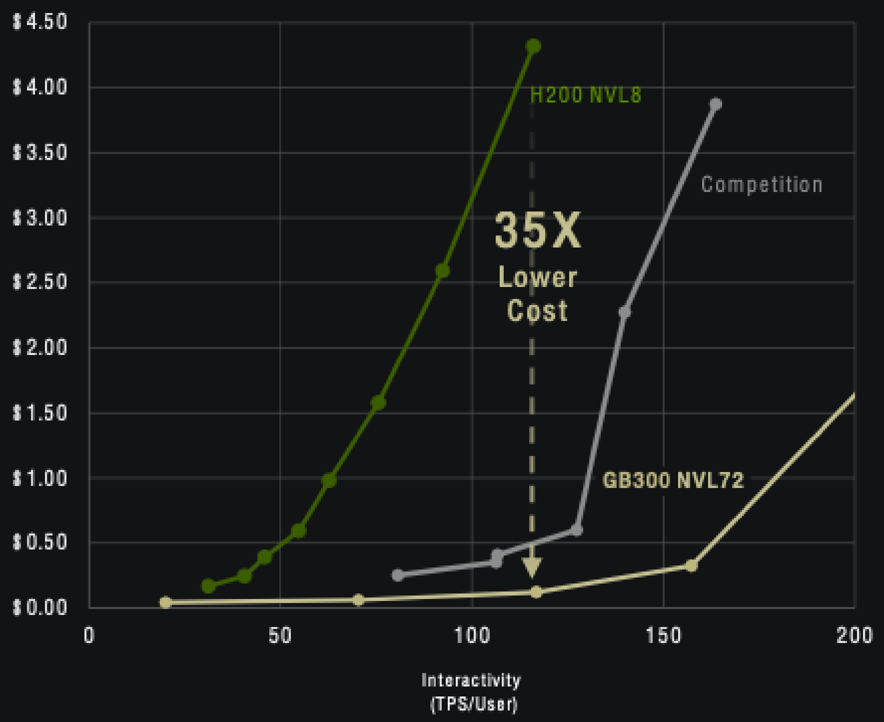
AI systems face a trade-off between response time and throughput. More tokens make AI smarter, but delays hurt user experience. The goal is to maximize token generation speed while maintaining efficiency.

Solving this requires massive FLOPS, bandwidth, and memory. The best AI systems optimize hardware and software to handle these demands, making inference one of computing's toughest problems.

Source: NVIDIA GTC 2025 presentation

NVIDIA Extreme Co-Design Revolutionized Token Cost





InferenceX by semianalysis

DeepSeek R1 0528 · FP4 · 1K/1K · Source: SemiAnalysis InferenceX

Source: GTC 2026

AI Factories are the Industrial Infrastructure of the AI Era
Inference is the Workload
Tokens are the New Commodity
Compute is Revenue

Source: GTC 2026

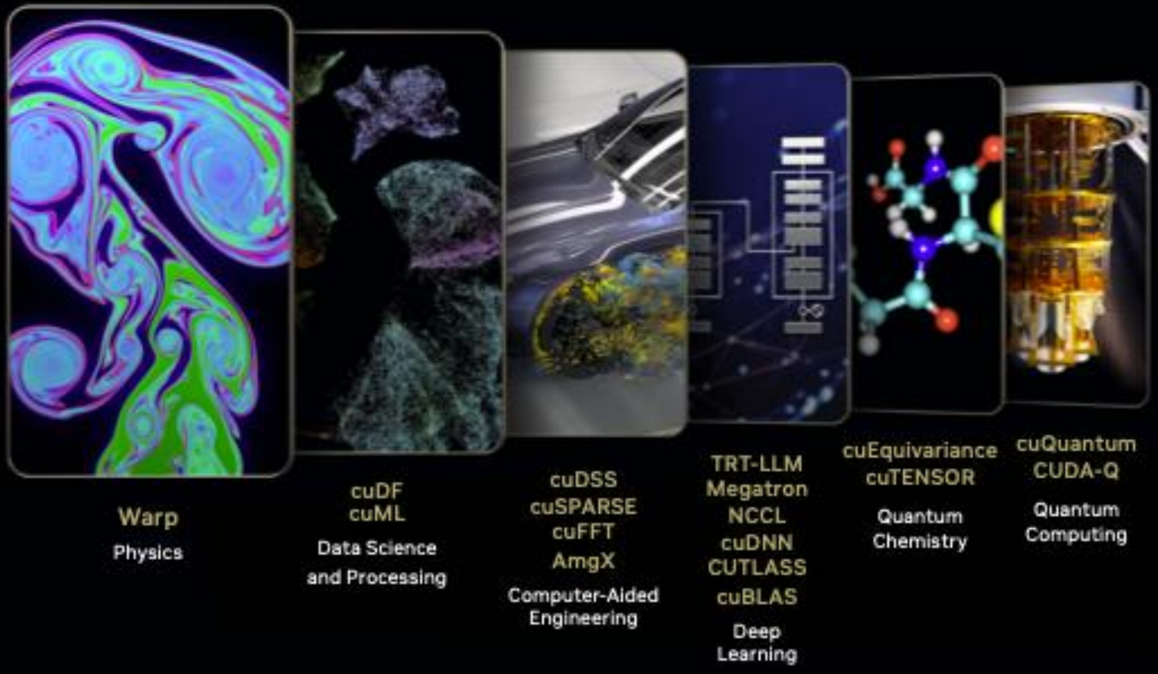
The Intelligence Supply Chain has Arrived

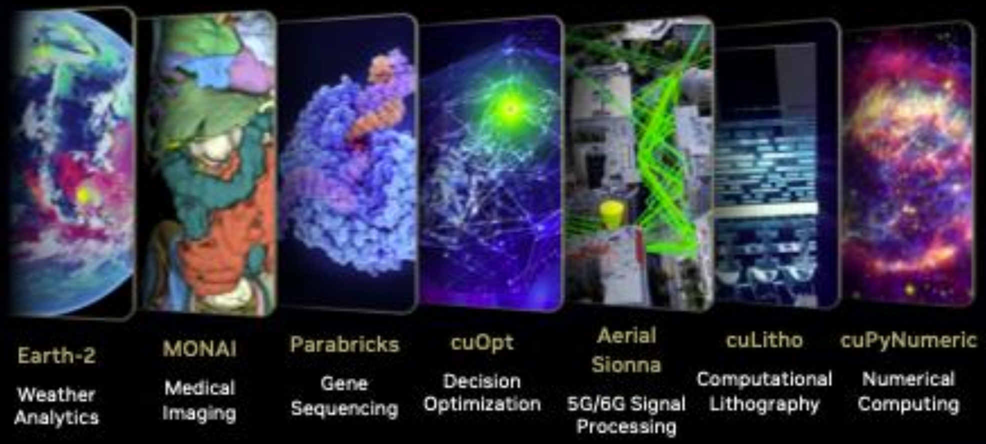
AI factories are a new class of industrial infrastructure. They are not just places to house IT, but production systems that continuously generate tokens of intelligence. Built on the NVIDIA full-stack platform, they power every layer of AI: from training and reasoning to inference and agentic action. Intelligence is no longer stored and retrieved. It is manufactured at scale. NVIDIA is building the global supply chain for this new essential resource and with computing demand having increased by a million times in recent years, the infrastructure race has only just begun.

Source: GTC 2026

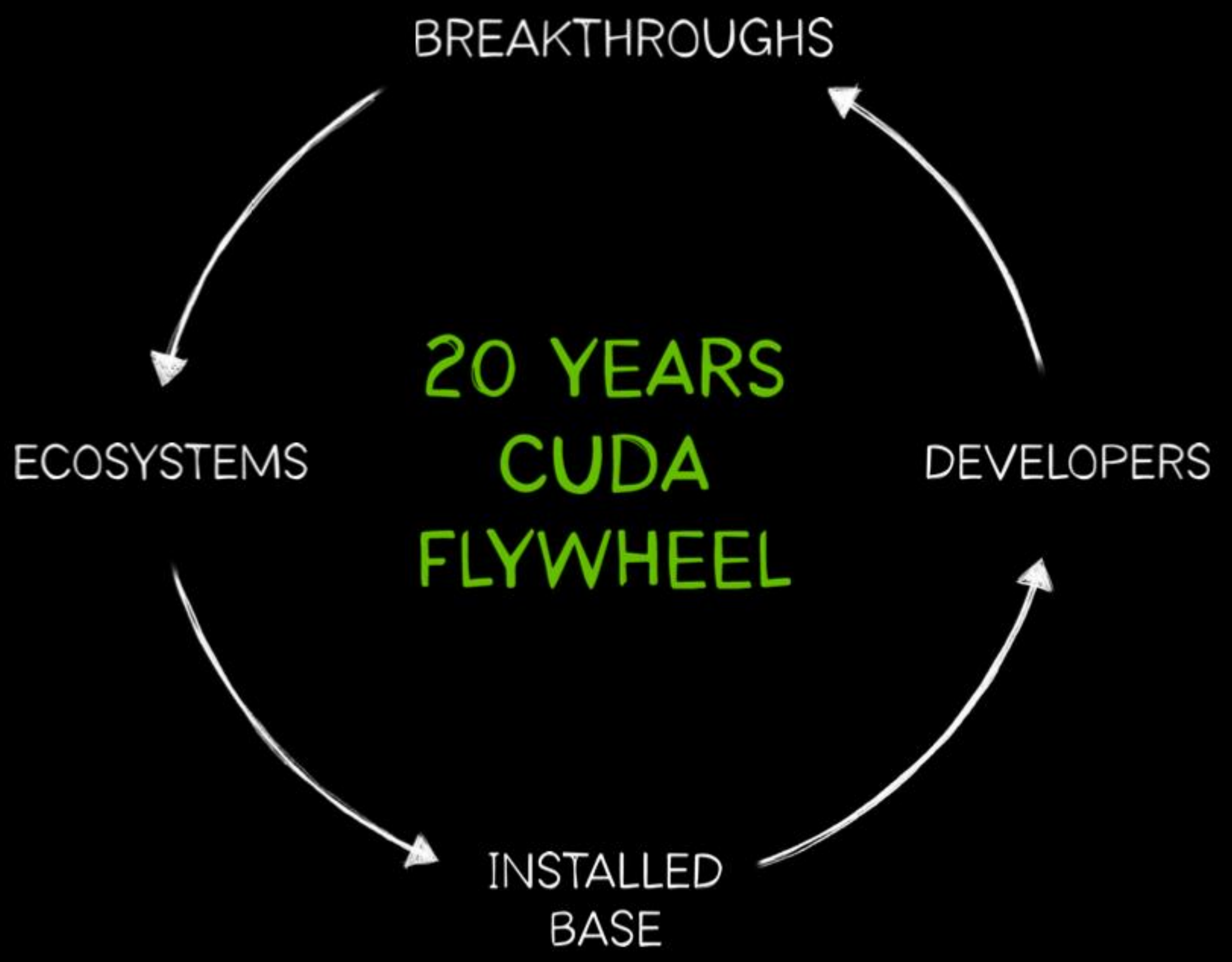
CUDA-X: Turning Acceleration Into Impact

NVIDIA CUDA-X is the language of accelerated computing. It's a layered software stack of domain-specific libraries, frameworks, and tools built on NVIDIA CUDA. It abstracts complexity and delivers performance across industries for applications spanning materials science, weather modeling, and industrial design. CUDA-X is how accelerated computing becomes accessible, powerful, and practical – transforming raw GPU capability into real-world breakthrough.





Source: NVIDIA FY 2025 Q4 Annual Report



Source: GTC 2026

THE 5-LAYER CAKE OF AI

Applications

AI-powered products and services deployed across every industry — from enterprise software to autonomous vehicles and healthcare

Models

Foundation models — open-source and proprietary — that form the intelligence of AI systems, trained and served at scale

Infrastructure

AI factories — industrial-scale systems that continuously manufacture tokens of intelligence rather then simply storing data

Chips

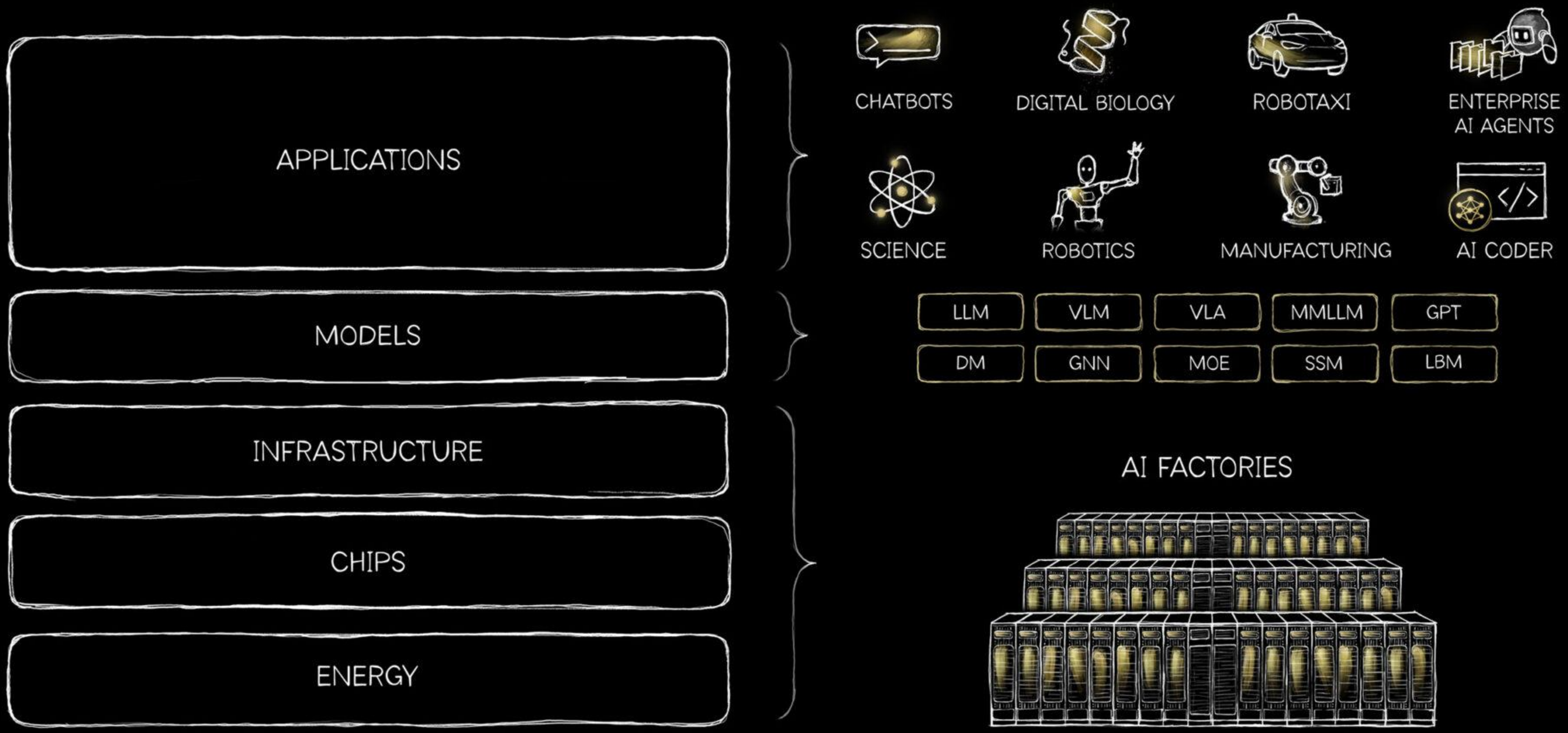
Purpose-built semiconductors with extreme co-design of compute, memory, and networking — optimized for AI workloads

Energy

The foundational constraint — every AI factory is ultimately defined by the power available, taking energy · a strategie resource

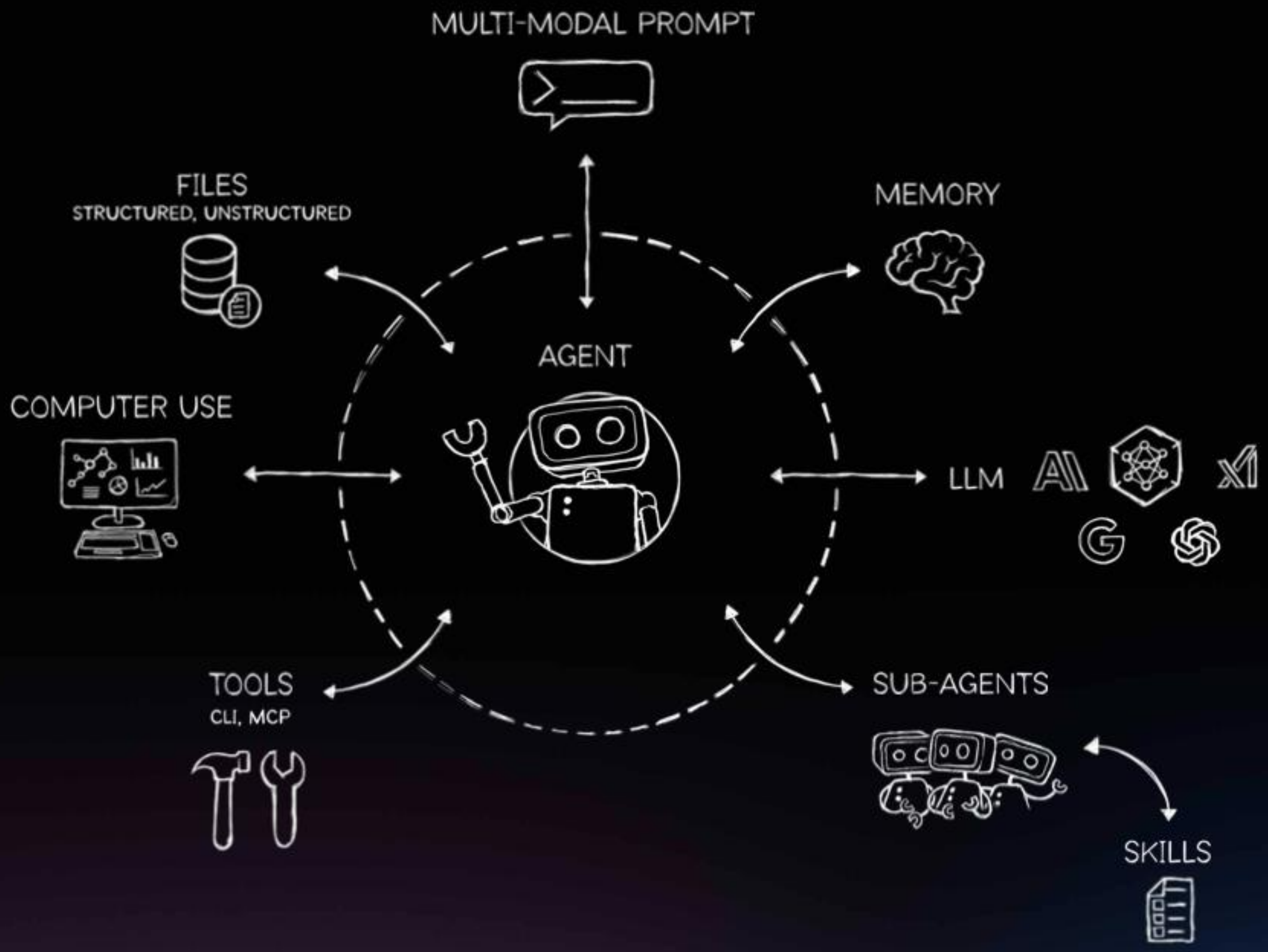
Source: GTC 2026 transcript. Image generated with AI.

THE 5-LAYER CAKE OF AI



Source: Nvidia Blog

Agents – A New Computing Platform



Source: GTC 2026

MARKET FOCUSED

NVIDIA has a platform strategy, bringing together hardware, system software, programmable algorithms, libraries, systems, and services to create unique value for the markets they serve.

While the requirements of these end markets are diverse, they address them with a unified underlying architecture leveraging their GPUs and software stacks.

1 **GAMING**

Focused on computer games where GPUs play a key role in enhancing the gamers’ experience.

2 **PROFESSIONAL VISUALIZATION**

Work closely with independent software vendors to optimize their offering for NVIDIA GPUs.

3 **DATACENTERS**

The NVIDIA accelerated computing platform addresses AI and HPC applications.

4 **AUTOMOTIVE**

Cockpit infotainment solutions, AV platforms, and associated development agreements.

5 **OEM & IP**

Remaining business of original equipment manufacturing nature.

Market Performance at a Glance

Datacenter

FY26 Q4 revenue
$193.7B
5 yr CAGR 106.7%

89.7% of total revenue

Gaming

FY26 Q4 revenue
$16B
5 yr CAGR 6.5%

7.4% of total revenue

Professional Visualization

FY26 Q4 revenue
$3.2B
5 yr CAGR 10.9%

1.5% of total revenue

Automotive

FY26 Q4 revenue
$2.3B
5 yr CAGR 42.7%

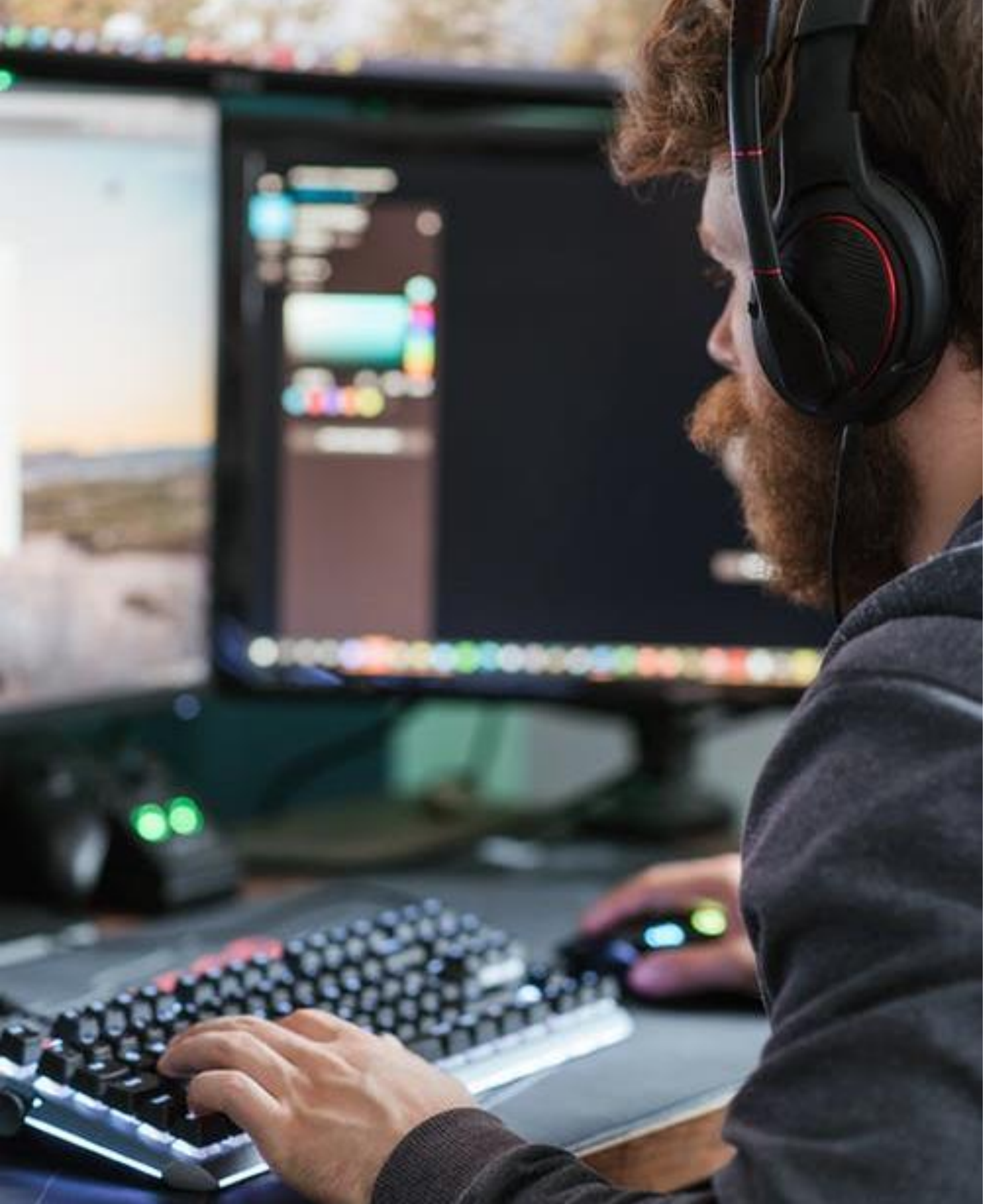
1.1% of total revenue

TTM values as of FY2026 Q4

VALUATION YEAR

FY 2026

FEBRUARY 2025 – JANUARY 2026



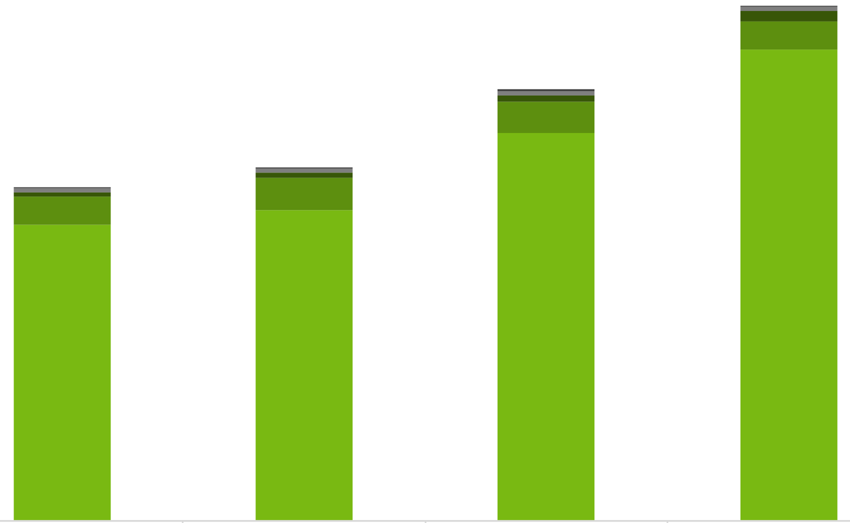
GENERAL NARRATIVE

- NVIDIA cemented its role as the foundational infrastructure layer for AI in FY2026, with full-year Data Center revenue reaching $194B — ~13x growth since the ChatGPT launch. The Blackwell architecture drove this expansion, with Grace Blackwell systems accounting for ~2/3 of Q4 Data Center revenue and ~9 gigawatts deployed across CSPs, hyperscalers, and enterprises. NVIDIA's full-stack moat — CUDA, NVLink, networking, and software — remains difficult to replicate, as demonstrated by 6-year-old Ampere GPUs still sold out in the cloud. With Cosmos, Omniverse, and Isaac GR00T gaining traction, Physical AI and Robotics represent the next major growth cycle beyond Agentic AI.

- Geopolitical headwinds were the defining risk of FY2026. H20 export controls forced a $4.5B inventory write-down in Q1, and NVIDIA has excluded China Data Center revenue from its forward outlook entirely. Tariffs and supply chain complexity continue to pressure costs, while Chinese competitors bolstered by recent IPOs are advancing rapidly. In Gaming, memory tightness is expected to constrain supply into Q1 FY2027, leaving full-year FY2027 growth dependent on relief materializing by year-end.

FY2026 AT A GLANCE

QUARTERLY REVENUES PER SECTOR



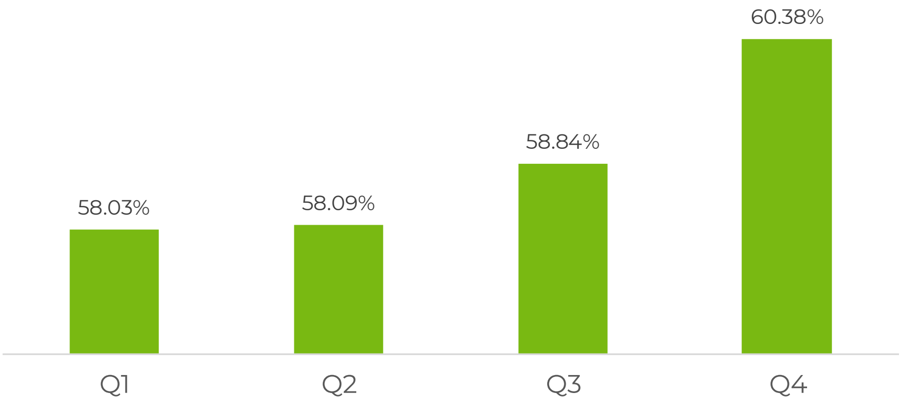
	Q1	Q2	Q3	Q4
OEM & IP	111	173	174	161
Auto	567	586	592	604
Professional Visualization	509	601	760	1,321
Gaming	3,763	4,287	4,265	3,727
Datacenter	39,112	41,096	51,215	62,314

Results mainly driven by

DATACENTER

Revenues mainly impacted by AI boom where Nvidia chips are key for processing AI workloads. Demand currently surpasses supply which are limiting further revenue. Margins also positively impacted by datacenter revenue.

OPERATING MARGIN



IMPORTANT MILESTONES

1. Blackwell architecture launch delivered major performance leaps, scaling to ~2/3 of Q4 Data Center revenue within a single fiscal year with ~9 gigawatts deployed globally.

2. Full-year Data Center revenue of $194B — ~13x growth since ChatGPT launch; Networking alone exceeded $31B, up 10x since the Mellanox acquisition in FY2021.

3. Vera Rubin platform announced — trains MoE models with 1/4 the GPUs and cuts inference token costs 10x vs. Blackwell; first samples shipped with production ramp H2 2026.

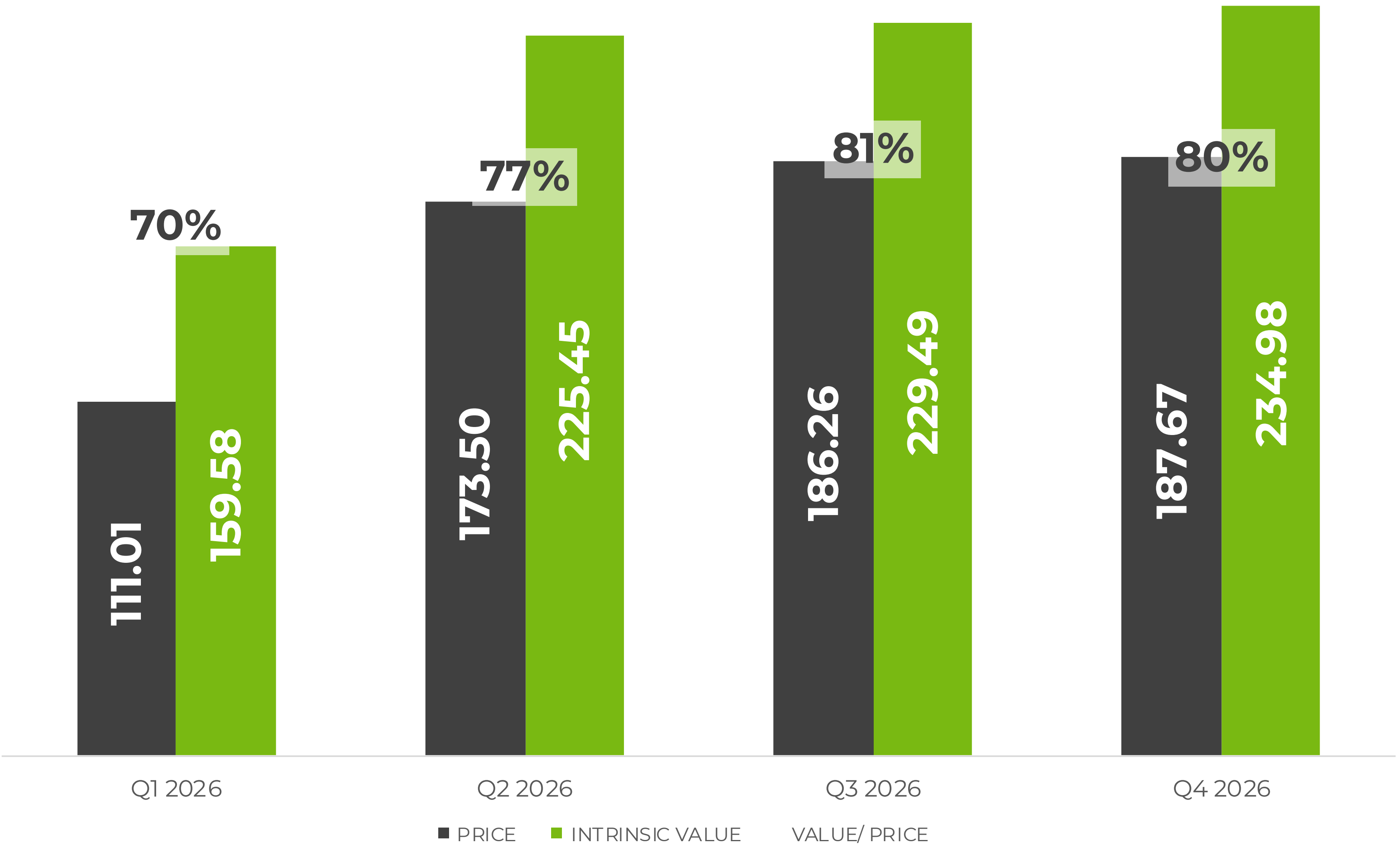
4. Sovereign AI surpassed $30B, more than tripling YoY as nations invested in owning their AI infrastructure — expected to grow in line with the broader AI infrastructure market.

5. Pro Visualization crossed $1B in a single quarter for the first time (Q4: $1.3B, +159% YoY), driven by Blackwell demand and the DGX Spark launch.

6. Automotive gaining momentum with partnerships across Toyota, Hyundai, Waymo, Tesla, Uber, and Zoox — robotaxi fleets expected to scale from thousands to millions of vehicles over the next decade.

7. Physical AI emerging as the next inflection point — Cosmos, Omniverse, and Isaac GR00T already contributing $6B+ to FY2026 revenue, with manufacturing and robotics identified as the wave beyond Agentic AI.

INTRINSIC VALUE OF STOCK



FISCAL YEAR
2026

Q4 RESULTS

NOV 2025 – JAN 2026

NARRATIVE | MAIN DRIVERS

FY2026 | Q4

DATACENTERS

Q4 Data Center revenue $62B (+75% YoY, +22% QoQ). Full year $194B — business scaled ~13x since ChatGPT launch.

Demand exceeding expectations across all customer types. Even 6-year-old Ampere GPUs remain fully sold out in the cloud.

~9 gigawatts of Blackwell infrastructure deployed and consumed by CSPs, hyperscalers, AI model makers and enterprises.

Networking revenue $11B in Q4 (+3.5x YoY). Full year exceeded $31B — up 10x since Mellanox acquisition in FY2021.

Grace Blackwell systems ~2/3 of Q4 Data Center revenue. AWS announced NVLink integration with their custom silicon.

Inventory secured and purchase commitments extended — demand visibility now stretches into calendar 2027.

Sovereign AI more than tripled YoY, exceeding $30B. Expected to grow at least in line with the overall AI infrastructure market.

No China Data Center revenue generated or assumed in outlook. Chinese competitors, bolstered by recent IPOs, making meaningful progress.

Demand broadening beyond chatbots — fundamental shift from classical ML to generative AI. Hyperscalers upgrading search, ads and recommender systems.

Agentic AI has reached inflection point. Claude Code, Claude Cowork, OpenClaw and OpenAI Codex achieving useful intelligence — token demand going exponential.

2026 CapEx for top 5 hyperscalers up ~$120B since start of year, approaching $700B. Hyperscalers ~50% of NVIDIA Data Center revenue; non-hyperscaler segment growing faster.

GB300 NVL72: 50x performance per watt and 35x lower cost per token vs. Hopper. CUDA optimization alone delivered 5x better performance on GB200 within 4 months.

Vera Rubin platform: 6 new chips, trains MoE models with 1/4 the GPUs, cuts inference token costs 10x vs. Blackwell. First samples shipped; production ramp H2 2026.

Partnerships deepened: $10B investment in Anthropic, Meta deploying millions of Blackwell and Rubin GPUs, OpenAI partnership agreement in progress, xAI active.
Groq licensing deal closed — low-latency inference tech to be integrated into NVIDIA architecture.

Physical AI already contributing $6B+ to FY2026 revenue. Agentic AI is the current wave; physical AI — manufacturing and robotics — is the next major inflection ahead.

GAMING

Q4 revenue $3.7B (+47% YoY), driven by strong Blackwell demand and improved supply.

New launches: DLSS 4.5, G-SYNC Pulsar, and 35% faster LLM inference across AI PC frameworks.

Supply constraints expected as headwind in Q1 FY2027 and beyond due to memory tightness. Channel inventory currently healthy.

Full year FY2027 gaming growth still uncertain — depends on supply relief by year-end.

PRO-VISUALIZATION

Q4 revenue $1.3B — crossed $1B mark for the first time ever (+159% YoY, +74% QoQ).

Growth driven by Blackwell demand and DGX Spark launch ("world's smallest AI supercomputer").

RTX PRO 5000 Blackwell Workstation launched with 72GB memory, purpose-built for LLMs and agentic workflows.

AUTOMOTIVE

Q4 revenue $604M (+6% YoY), driven by self-driving solutions demand.

Alpamayo introduced at CES: first open portfolio of reasoning, vision, language and action models for vehicles. First deployment in new Mercedes-Benz CLA.

Robotaxi fleets (Waymo, Tesla, Uber, WeRide, Zoox) scaling from thousands to millions of vehicles over next decade.

Partnering with Uber to scale world's largest Level 4 autonomous fleet on NVIDIA Hyperion architecture.

ASSUMPTIONS

FY2026 | Q4

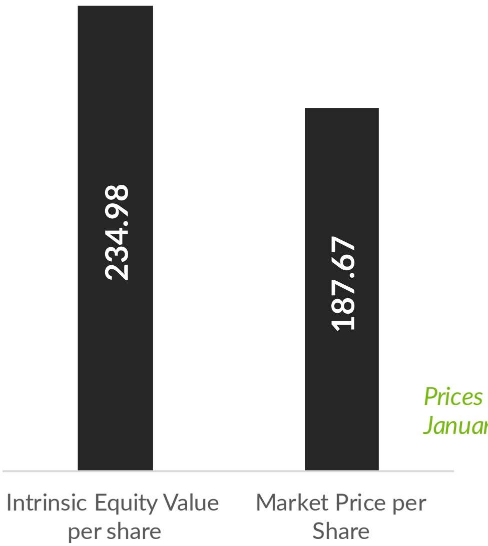
	BASE YEAR	GROWTH PHASE	STABLE PHASE	TERMINAL	LINK TO NARRATIVE
REVENUE	215,938	42.00%	4.24%	4.24%	Nvidia's future revenue outlook remains strong as it continues to dominate the AI infrastructure market with its full-platform approach. Growth assumptions have been modestly reduced to 42% relative to last quarter, reflecting calculations on a larger base. We maintain our assumption of removing all China revenue from the valuation given the continued geopolitical challenges limiting market access. Its leadership in AI technology and infrastructure is expected to sustain its impressive growth trajectory, phasing to the risk-free rate into the stable phase.
OPERATING MARGIN	64.48%	55.00%	45.00%	45.00%	Maintaining the assumption of lower margins in the current phase as they invest in future architecture and more supply chain. It remains above industry levels due to Nvidia's strong pricing power and full-stack strength. Maintain assumption that it will slightly decline over time as competition intensifies and suppliers potentially raise prices.
TAX RATE	15.12%	15.12%	27.00%	27.00%	Current tax rate for growth phase. Phasing to US marginal tax rate for stable phase.
REINVESTMENT	Sales to Capital Ratio	1.50	RIR =	28.71%	Maintained sales to capital as Nvidia continues to be very efficient with its investments. Still lower than current sales to capital which is closer to 2.
RETURN ON CAPITAL	88.81%	Marginal ROIC =	55.17%	14.77%	Competitive advantage expected to be maintained due to expertise with GPU and new software focus built on the GPU platform.
COST OF CAPITAL		14.37%	9.77%	9.77%	Increased WACC for growth phase to the global value assuming that there is a higher risk due to geopolitical uncertainty and competition. Reduced to US value for stable phase as over time the company can be expected to be less risky.

The Cash Flows						
	Revenues	Operating Margin	EBIT	EBIT (1-t)	Reinvestment	FCFF
1	306,632	62.59%	15.12%	162,898	60,463	102,435
2	435,417	60.69%	15.12%	224,305	85,857	138,448
3	618,293	58.79%	15.12%	308,560	121,917	186,643
4	877,976	56.90%	15.12%	424,022	173,122	250,900
5	1,246,725	55.00%	15.12%	582,042	245,833	336,209
6	1,676,197	45.00%	17.49%	622,337	214,736	407,601
7	2,127,027	45.00%	19.87%	766,972	225,415	541,557
8	2,538,480	45.00%	22.25%	888,187	205,726	682,461
9	2,837,817	45.00%	24.62%	962,572	149,669	812,904
10	2,958,140	45.00%	27.00%	971,749	60,162	911,587
Terminal Value	3,083,566	45.00%	27.00%	1,012,951	290,858	722,093

NUMBERS

FY2026 | Q4

The Value	
Terminal value	13,066,371
PV(Terminal value)	3,856,430
PV (CF over next 10 years)	1,815,998
Value of operating assets	**5,672,428**
- Tax due on trapped cash brought back	-
+ Cash & Marketable Securities	62,556
- Tax due on deferred taxes	-
+ Non-operating Assets	-
Value of firm	**5,734,984**
- Debt value of lease	-
- Total Interest Bearing Debt	(11,040)
Market Value of Equity	**5,723,944**
Number of shares (primary)	24,359
Intrinsic Equity Value per share	**234.98**



Prices as of January 24, 2026

79.9%

PRICE AS % OF VALUE

FISCAL YEAR
2026

Q3 RESULTS

AUG 2025 – OCT 2025

NARRATIVE | MAIN DRIVERS

FY2026 | Q3

DATACENTERS

Demand for AI infrastructure is still exceeding expectations. Clouds are sold out with GPU installed base (Blackwell/ Hopper/ Ampere) fully utilized.

Accelerators without CUDA quickly became obsolete as models evolved, while A100 GPUs shipped six years ago remain fully utilized today due to NVIDIA's CUDA-enabled software stack.

Compute growth driven primarily by GB300 ramp contributing 2/3 of total Blackwell revenue.

Networking more than doubled given the onset of NVLink scale-up and robust double-digit growth across Sprectrum-X Ethernet and Quantum-X Infiniband.

Strategic partnership with OpenAI to help build and deploy at least 10GW of AI datacenters as well as a deep technology partnership with Anthropic including an initial compute commitment with up to 1 GW with Grace Blackwell and Vera Rubin systems.

The company is not assuming any Data Center compute revenue from China in its outlook. The company sold about $50M in H20 sales but sizable purchase orders did not materialize due to geopolitics and competition.

NVIDIA paused work on its H20 chip for China after security concerns raised by Chinese officials and was seeking approval for a more advanced chip balancing performance vs local Chinese offerings.

Enterprises broadly are leveraging AI to boost productivity, increase efficiency and reduce cost.

2026 CapEx expectations for top CSPs and hyperscalers have climbed to ~$600B, up $200B+ since the start of the year. Roughly half of the long-term opportunity comes from accelerated computing and generative AI in existing hyperscale workloads, with the remainder driven by rapidly rising compute spend from foundation model builders scaling intelligence.

Rubin is our third-generation rack scale system substantially redefined the manufacturability while remaining compatible with Grace Blackwell, our supply chain data center ecosystem and cloud partners have now mastered the build-to-installation process of NVIDIA's rack architecture.

In the latest MLPerf Training results, Blackwell Ultra delivered 5x faster time to train than Hopper. NVIDIA swept every benchmark.

Physical AI is already a multibillion-dollar business with a multitrillion-dollar opportunity, as manufacturers and robotics leaders use NVIDIA's three-computer architecture to train on NVIDIA, test in Omniverse, and deploy on Jetson.

Omniverse-powered digital twin workflows expanding via industrial software partners: the call states PTC and Siemens introduced new services to bring Omniverse-powered digital twin workflows to their installed bases.

GAMING

Strong demand and "Blackwell momentum," and noting healthy channel inventory heading into the holidays.

Steam recently broke its concurrent user record with 42 million gamers, while thousands of fans packed the GeForce Gamer Festival in South Korea to celebrate 25 years of GeForce.

NVIDIA announced DLSS 4.5, including a new transformer-based Super Resolution model and a 6× Multi Frame Generation mode for RTX 50-series cards (spring 2026), described as generating up to five AI frames per rendered frame to boost performance .

NVIDIA said GeForce NOW is getting native Linux and Fire TV apps (Ubuntu 24.04 beta expected soon), plus additional features like flight control device support and easier sign-in, with India launch delayed to Q1 2026.

Acer Veriton GN100, a compact "AI mini workstation" using NVIDIA's GB10 Blackwell Superchip, claiming up to 1 PFLOPS, with 20 Arm-based CPU cores, 128GB memory, and 4TB storage.

PRO-VISUALIZATION

NVIDIA pro visualization has evolved into computers for engineers and developers, whether for graphics or for AI.

Growth driven by DGX Spark (described as "the world's smallest AI supercomputer" built on a small Grace Blackwell configuration)

AUTOMOTIVE

Growth primarily driven by self-driving solutions.

Nvidia is partnering with Uber to scale the world's largest level 4-ready autonomous fleet built on the new NVIDIA Hyperion L4 robotaxi reference architecture.

ASSUMPTIONS

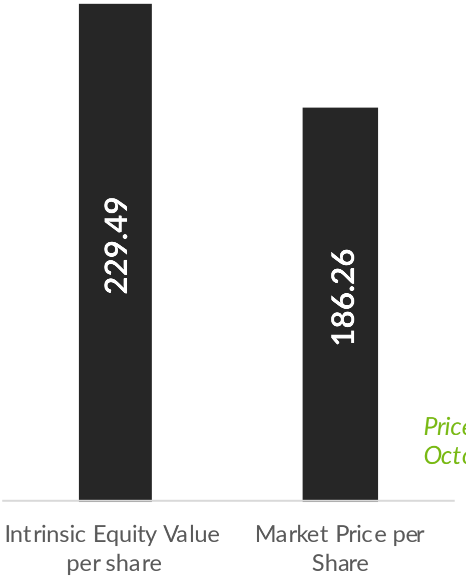
FY2026 | Q3

	BASE YEAR	GROWTH PHASE	STABLE PHASE	TERMINAL	LINK TO NARRATIVE
REVENUE	187,142	45.00%	4.02%	4.02%	Nvidia's future revenue outlook remains strong as it continues to dominate the AI infrastructure market with its full-platform approach. Despite this strength, the industry faces geopolitical challenges leading us to assume that they will lose all of revenue in China. However, its leadership in AI technology and infrastructure is expected to sustain its impression growth trajectory which is maintained at 45% in the short-term, phasing to the risk-free rate into the stable phase.
OPERATING MARGIN	63.01%	55.00%	45.00%	45.00%	Maintaining the assumption of lower margins in the current phase as they invest in future architecture and more supply chain. It remains above industry levels due to Nvidia's strong pricing power and full-stack strength. Maintain assumption that it will slightly decline over time as competition intensifies and suppliers potentially raise prices.
TAX RATE	14.68%	14.68%	27.00%	27.00%	Current tax rate for growth phase. Phasing to US marginal tax rate for stable phase.
REINVESTMENT	Sales to Capital Ratio	1.50	RIR =	26.68%	Maintained sales to capital as Nvidia continues to be very efficient with its investments. Still lower than current sales to capital which is closer to 2.
RETURN ON CAPITAL	107.04%	Marginal ROIC =	55.14%	15.07%	Competitive advantage expected to be maintained due to expertise with GPU and new software focus built on the GPU platform.
COST OF CAPITAL		13.69%	10.07%	10.07%	Increased WACC for growth phase to the global value assuming that there is a higher risk due to geopolitical uncertainty and competition. Reduced to US value for stable phase as over time the company can be expected to be less risky.

NUMBERS
FY2026 | Q3

The Cash Flows						
	Revenues	Operating Margin	EBIT	EBIT (1-t)	Reinvestment	FCFF
1	271,356	61.41%	14.68%	142,178	56,143	86,035
2	393,466	59.81%	14.68%	200,776	81,407	119,369
3	570,526	58.21%	14.68%	283,323	118,040	165,283
4	827,262	56.60%	14.68%	399,504	171,158	228,347
5	1,199,530	55.00%	14.68%	562,876	248,179	314,698
6	1,641,006	45.00%	17.15%	611,838	226,387	385,452
7	2,110,465	45.00%	19.61%	763,477	240,737	522,740
8	2,541,253	45.00%	22.07%	891,146	220,906	670,239
9	2,851,692	45.00%	24.54%	968,394	159,192	809,202
10	2,966,330	45.00%	27.00%	974,439	58,786	915,653
Terminal Value	3,085,576	45.00%	27.00%	1,013,612	270,411	743,201

The Value	
Terminal value	12,287,116
PV(Terminal value)	3,751,944
PV (CF over next 10 years)	1,780,775
Value of operating assets	**5,532,719**
- Tax due on trapped cash brought back	-
+ Cash & Marketable Securities	60,608
- Tax due on deferred taxes	-
+ Non-operating Assets	-
Value of firm	**5,593,327**
- Debt value of lease	-
- Total Interest Bearing Debt	(10,481)
Market Value of Equity	**5,582,846**
Number of shares (primary)	24,327
Intrinsic Equity Value per share	**229.49**



Prices as of October 24, 2025

81.2%
PRICE AS % OF VALUE

FISCAL YEAR

2026

Q2 RESULTS

MAY 2025 – JUL 2025

NARRATIVE | MAIN DRIVERS

FY2026 | Q2

DATACENTERS

The strong YoY and sequential growth was driven by demand for accelerated computing platform used for LLMs, recommendation engines, and generative and agentic AI applications.

Recognized Blackwell revenue across all customer categories, led by CSPs which represented approximately 50% of Data Center revenue. Datacenter compute revenue declined 1% sequentially driven by a $4B reduction in H20 sales.

Networking revenue +98% YoY driven by growth of NVLink compute fabric for GB200 and GB300 systems, ramp of XDR InfiniBand products, and adoption of Ethernet for AI solutions at CSPs and consumer internet companies.

Blackwell Datacenter revenue grew 17% sequentially. Blackwell Ultra production is ramping at full speed.

There were no H20 sales to China-based customers. In August 2025, the USG granted licenses that would allow Nvidia to ship H20s to certain China-based customers, but to date, they have not shipped any under this license. The USG expressed the expectation that they will receive 15% of revenue generated from licensed H20 sales, but to date, they have not published regulation codifying such requirement. Nvidia is not assuming H20 shipments to China in their outlook.

Nvidia plans to invest up to $100B in OpenAI to support massive datacenter buildout, potentially gaining revenue exposure to the most popular AI company in the world.

Nvidia RTX PRO 6000 Blackwell Server Edition GPU coming to most popular enterprise servers - including Disney, Foxconn, TSMC

Introduced Nvidia Spectrum-XGS Ethernet to connect distributed datacenters for giga-scale AI.

Nvidia working with European nations to build NVIDIA Blackwell AI infrastructure including first industrial AI cloud for European manufacturers.

Adoption of sovereign AI in Europe and Middle East.

Blackwell delivered best performance on MLPerf.

Nvidia partnership with Intel will help bring more synergies in datacenters by including an option of an Nvidia GPU with x86 products.

GAMING

Launched Blackwell powered Nvidia GeForce RTX 5060 - quickly became fastest-ramping x60-class GPU ever.

Expanded games supporting DLSS 4 tech.

Announced Blackwell coming to GeForce Now + new games available.

Partnered with OpenAI on the launch of newest open-weight models optimized for RTX GPUs for fast, local inference in popular tools.

Nvidia announced a major partnership with Intel to combine their CPUs with Nvidia's GPUs in both datacenter and PC products.

PRO-VISUALIZATION

Announced Nvidia RTX PRO 4000 SFF Edition and RTX PRO 2000 Blackwell GPUs.

Expanded partnership with Siemens to digitalize and enable the manufacturing factory of the future.

Announced new Nvidia Omniverse libraries and software development kits to accelerate physical AI development.

AUTOMOTIVE

Full-stack Nvidia Drive AV software is in full production.

Commenced initial shipments of Nvidia Drive AGX Thor system-on-a-chip.

General availability of Nvidia Jetson AGX Thor developer kit and production modules designed to power millions of robots.

Released Nvidia Halos full-stack safety platform for robotic development.

Announced Nvidia Cosmos world foundation models that accelerate the development and deployment of robotics solutions.

ASSUMPTIONS

FY2026 | Q2

	BASE YEAR	GROWTH PHASE	STABLE PHASE	TERMINAL	LINK TO NARRATIVE
REVENUE	165,218	45.00%	4.40%	4.40%	Nvidia's revenue remains strong, driven by sustained investment in AI and datacenter buildouts, alongside a compelling narrative around robotics and physical AI. We increased our outlook for the growth phase as these investments continue, further supported by its push into AI PCs through strategic partnerships such as with Intel. Notably, Nvidia's we continue to exclude contributions from China due to ongoing geopolitical challenges.
OPERATING MARGIN	62.42%	55.00%	45.00%	45.00%	Slightly increased assumption of margin for growth phase but remains lower than current margins as they invest in future architecture and more supply chain. It remains above industry levels due to Nvidia's strong pricing power and full-stack strength. Maintain assumption that it will slightly decline over time as competition intensifies and suppliers potentially raise prices.
TAX RATE	13.96%	13.96%	27.00%	27.00%	Current tax rate for growth phase. Phasing to US marginal tax rate for stable phase.
REINVESTMENT	Sales to Capital Ratio	1.50	RIR =	29.20%	Maintained sales to capital as Nvidia continues to be very efficient with its investments. Still lower than current sales to capital which is closer to 2.
RETURN ON CAPITAL	115.25%	Marginal ROIC =	57.60%	15.07%	Competitive advantage expected to be maintained due to expertise with GPU and new software focus built on the GPU platform.
COST OF CAPITAL		12.44%	10.07%	10.07%	Continue to assume global value For WACC taking into account a higher risk due to geopolitical uncertainty. Reduced to US value for stable phase as over time the company can be expected to be less risky.

The Cash Flows						
	Revenues	Operating Margin	EBIT	EBIT (1-t)	Reinvestment	FCFF
1	239,566	60.94%	13.96%	125,605	49,565	76,040
2	347,371	59.45%	13.96%	177,691	71,870	105,821
3	503,688	57.97%	13.96%	251,218	104,211	147,007
4	730,347	56.48%	13.96%	354,938	151,106	203,832
5	1,059,003	55.00%	13.96%	501,134	219,104	282,029
6	1,449,564	45.00%	16.57%	544,223	185,970	358,252
7	1,866,458	45.00%	19.18%	678,839	198,510	480,329
8	2,251,696	45.00%	21.78%	792,528	183,436	609,093
9	2,533,608	45.00%	24.39%	862,021	134,236	727,785
10	2,645,087	45.00%	27.00%	868,911	53,082	815,829
Terminal Value	2,761,470	45.00%	27.00%	907,143	264,884	642,259

The Value	
Terminal value	11,330,086
PV(Terminal value)	3,737,679
PV (CF over next 10 years)	1,709,036
Value of operating assets	**5,446,715**
- Tax due on trapped cash brought back	-
+ Cash & Marketable Securities	56,791
- Tax due on deferred taxes	-
+ Non-operating Assets	-
Value of firm	**5,503,506**
- Debt value of lease	-
- Total Interest Bearing Debt	(10,297)
Market Value of Equity	**5,493,209**
Number of shares (primary)	24,366
Intrinsic Equity Value per share	**225.45**

Prices as of July 25, 2025

NUMBERS
FY2026 | Q2

77.0%

PRICE AS % OF VALUE

FISCAL YEAR

2026

Q1 RESULTS

FEB 2025 – APR 2025

NARRATIVE | MAIN DRIVERS

FY2026 | Q1

DATACENTERS

Export controls on H20 – recognized a $4.6B in revenue prior to restriction + $4.5B charge to write down inventory and purchase obligations. Nvidia was unable to ship $2.5B of revenue in Q1. Losing access to China AI accelerator market (expected to grow to ~$50B) would have an adverse impact on their business going forward.

Blackwell ramp contributed to around 70% of revenue as transition from Hopper is almost complete. Are seeing improvements in manufacturing yields. Key learnings will allow for a smoother transition to Blackwell Ultra. GB300 currently in testing and expect production shipments to commence this quarter.

Witnessing sharp inference demand from both CSPs and start-ups, especially since the start of reasoning models.

Nvidia Dynamo turbocharges AI inference throughput by 30x for the new reasoning models sweeping the industry. Developer engagements increased, with adopting raining from LLM providers to financial services who reduced agentic chatbot latency by 5x with Dynamo.

Delivered up to 30x higher inference throughput compared to previous submission to MLPerf inference results on the Llama 3.1 benchmark.

Nvidia continues to optimize performance of hardware through CUDA.

Pace and scale of AI factory deployment is accelerating with nearly 100 Nvidia-powered AI factories in flight this quarter. Sovereign AI also continues to be a strong vertical as countries invest to have control over their own AI and data.

Introduced Llama Nemotron family of open reasoning models designed to supercharge agentic AI platforms for enterprises available as Nims.

Networking continues to grow. Announced NVLink Fusion so hyperscale customers can build semi-custom CCUs and accelerators that connect directly to Nvidia platform with NVLink.

Vera Rubin in the works for deployment for next year maintain their one-year architecture update cadence.

Nvidia has made investments in nuclear energy companies in order to support clean energy for future datacenter development as energy remains a constraint for datacenter deployments.

Around 30% of Nvidia's sales continues to come from 2 direct customers. This is expected to continue.

Tariffs and export controls are increase supply chain costs and complexity. Nvidia is investing in partnerships to boost US manufacturing.

Nvidia is investing in quantum computing as a new big technological breakthrough.

GAMING

Strong adoption of Blackwell architecture by gamers, creators and AI enthusiasts.

Nvidia has improved supply and expect to continue doing so in Q2.

Laptops with NVIDIA RTX 5000 series Blackwell GPUs will be able to run Microsoft CoPilot+.

Nintendo Switch 2 leverages Nvidia's neural rending and AI technologies for better gaming performance.

PRO-VISUALIZATION

Tariff-related uncertainty temporarily impacted Q1 systems.

Demand for AI workstations is strong – expect sequential revenue to increase as Nvidia DGX Spark and Station revolutionize personal computing.

Deepened Omniverse's integration and adoption into many leading software platforms. Expected to be used for at-scale robot fleet management and digital twins.

AUTOMOTIVE

Announced Isaac GR00T N1 enabling generalized reasoning and skill development for humanoid robots.

Launched Nvidia Cosmos World Foundation models for synthetic data generations.

Expect robotics to become a strong vertical as the adoption of AV and robotic factories/ warehouses increase.

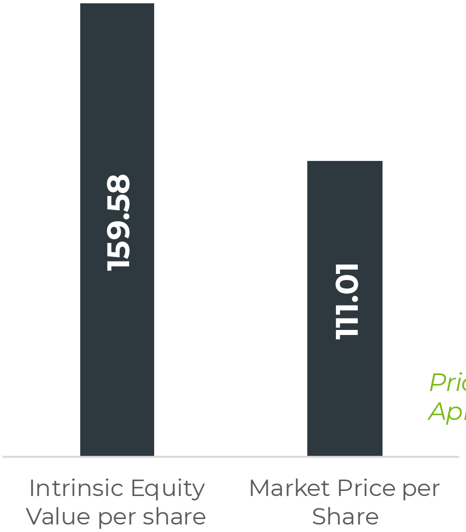
ASSUMPTIONS

FY2026 | Q1

	BASE YEAR	GROWTH PHASE	STABLE PHASE	TERMINAL	LINK TO NARRATIVE
REVENUE	148,515	40.00%	4.29%	4.29%	Nvidia's future revenue outlook remains strong as it continues to dominate the AI infrastructure market with its full-platform approach. Despite this strength, the industry faces geopolitical challenges leading us to assume that they will lose all of revenue in China. However, its leadership in AI technology and infrastructure is expected to sustain its growth trajectory which is maintained at 40% in the short-term, phasing to the risk-free rate into the stable phase.
OPERATING MARGIN	62.45%	50.00%	45.00%	45.00%	Maintaining the assumption of lower margins in the current phase as they invest in future architecture and more supply chain. It remains above industry levels due to Nvidia's strong pricing power and full-stack strength. Maintain assumption that it will slightly decline over time as competition intensifies and suppliers potentially raise prices.
TAX RATE	13.40%	13.40%	27.00%	27.00%	Current tax rate for growth phase. Phasing to US marginal tax rate for stable phase.
REINVESTMENT	Sales to Capital Ratio	1.50	RIR =	28.47%	Maintained sales to capital as Nvidia continues to be very efficient with its investments. Still lower than current sales to capital which is closer to 2.
RETURN ON CAPITAL	129.90%	Marginal ROIC =	59.58%	15.07%	Competitive advantage expected to be maintained due to expertise with GPU and new software focus built on the GPU platform.
COST OF CAPITAL		12.44%	10.07%	10.07%	Increased WACC for growth phase to the global value assuming that there is a higher risk due to geopolitical uncertainty. Reduced to US value for stable phase as over time the company can be expected to be less risky.

The Cash Flows						
	Revenues	Operating Margin	EBIT	EBIT (1-t)	Reinvestment	FCFF
1	207,921	59.96%	13.40%	107,962	39,604	68,358
2	291,089	57.47%	13.40%	144,869	55,446	89,423
3	407,525	54.98%	13.40%	194,028	77,624	116,404
4	570,535	52.49%	13.40%	259,336	108,673	150,662
5	798,749	50.00%	13.40%	345,845	152,143	193,702
6	1,061,202	45.00%	16.12%	400,549	111,682	288,867
7	1,334,101	45.00%	18.84%	487,228	116,127	371,102
8	1,581,897	45.00%	21.56%	558,369	105,445	452,924
9	1,762,740	45.00%	24.28%	600,631	76,954	523,677
10	1,838,361	45.00%	27.00%	603,902	32,179	571,722
Terminal Value	1,917,227	45.00%	27.00%	629,809	179,305	450,504

The Value	
Terminal value	7,796,047
PV(Terminal value)	2,571,836
PV (CF over next 10 years)	1,284,840
Value of operating assets	**3,856,676**
- Tax due on trapped cash brought back	-
+ Cash & Marketable Securities	53,691
- Tax due on deferred taxes	-
+ Non-operating Assets	-
Value of firm	**3,910,367**
- Debt value of lease	-
- Total Interest Bearing Debt	(9,985)
Market Value of Equity	**3,900,382**
Number of shares (primary)	24,441
Intrinsic Equity Value per share	**159.58**



Prices as of April 25, 2025

NUMBERS

FY2026 | Q1

69.6%

PRICE AS % OF VALUE

VALUATION AT A GLANCE

FY 2017 - 2025

FEBRUARY 2016 – JANUARY 2025

IMPORTANT MILESTONES

2017
FEB 2016– JAN 2017

Gaming exploded as new form of entertainment with eSports gaining traction.

2018
FEB 2017– JAN 2018

eSports continues to grow.

Datacenter impacts results as AI adoption penetrates the market.

2019
FEB 2018– JAN 2019

Macroeconomic factors affect NVIDIA growth as well as gaming restrictions in China.

Crypto mining also distorts gaming results.

2020
FEB 2019– JAN 2020

Ray-tracing revolutionizes graphics, datacenters continue to grow as AI key trends increase in relevance.

2021
FEB 2020– JAN 2021

Covid-19 Pandemic impacts changes way of working and social interaction towards a more digital world.

Acquisition and integration of Mellanox as part of Datacenter results.

2022
FEB 2021– JAN 2022

NVIDIA continues to develop software stacks opening new market opportunities as AI adoption expands.

NVIDIA launches Omniverse which has potential as the future of design as well as more uses in combination with AI.

2023
FEB 2022– JAN 2023

Unsteady political and macroeconomic environment negatively impacted the company resulting in excess inventory in the channel for gaming and pro-vis.

Inflection point for AI and AV + increased adoption of cloud computing driving results in datacenter and automotive.

2024
FEB 2023– JAN 2024

Transition towards accelerated computing and proliferation of Gen AI application are driving overall yearly demand. Potential use cases and new verticals provide more opportunity to continue growing.

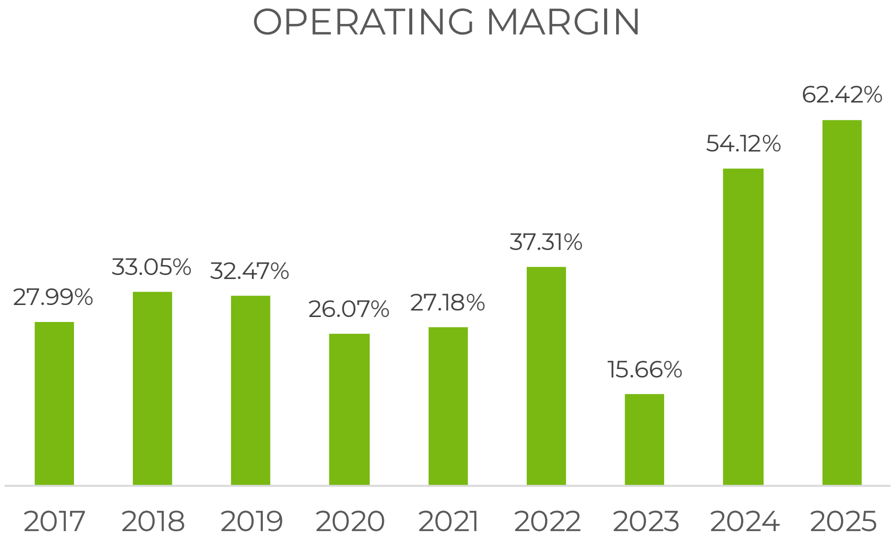
Increased government restrictions and competition pose significant challenge which pushes Nvidia to reduced product cycles to maintain competitive advantage.

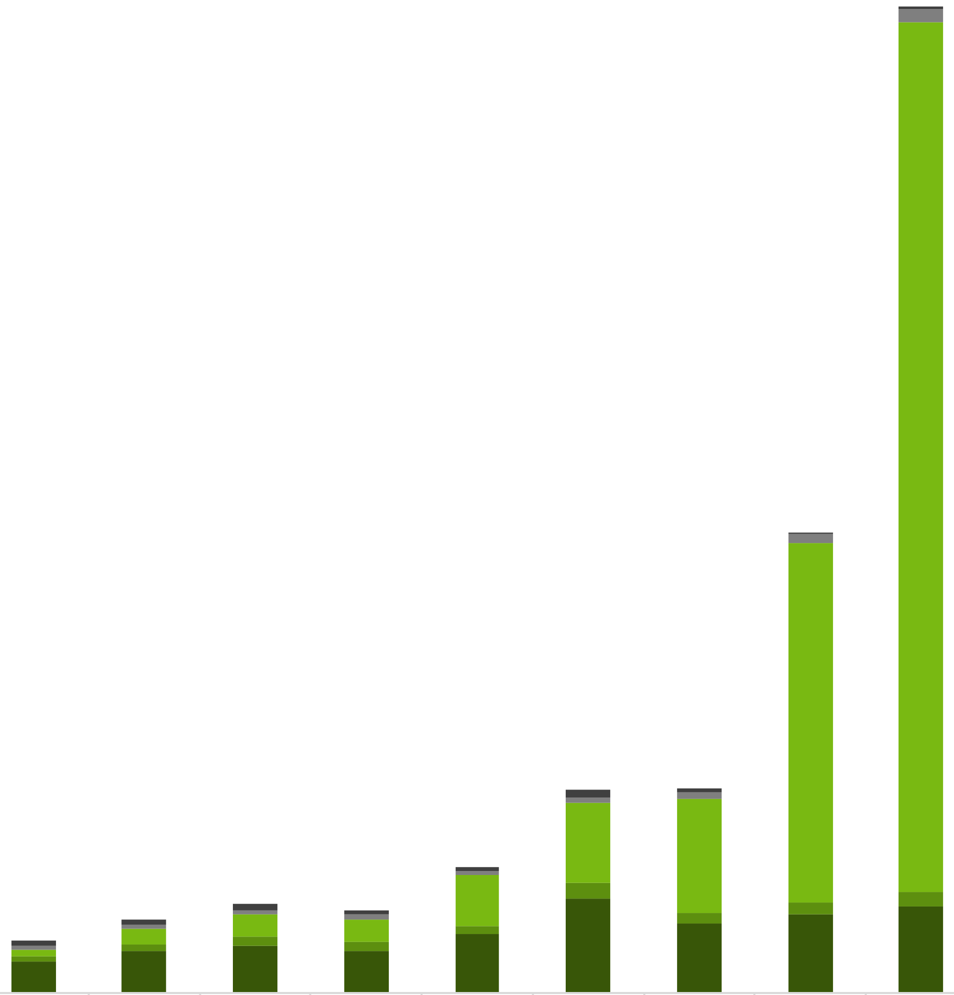
2025
FEB 2024– JAN 2025

Introduced Blackwell architecture, driving major performance gains across products, including the new GeForce RTX 50 series for desktops and laptops, and enabling Project Digits—its personal AI computer powered by Grace Blackwell—for widespread AI access.

Advanced leadership in Physical AI and robotics with the launch of the Cosmos World Foundation Model Platform and Omniverse expansions, while forming key automotive partnerships and supporting AI agent development through the open Llama Nemotron framework.

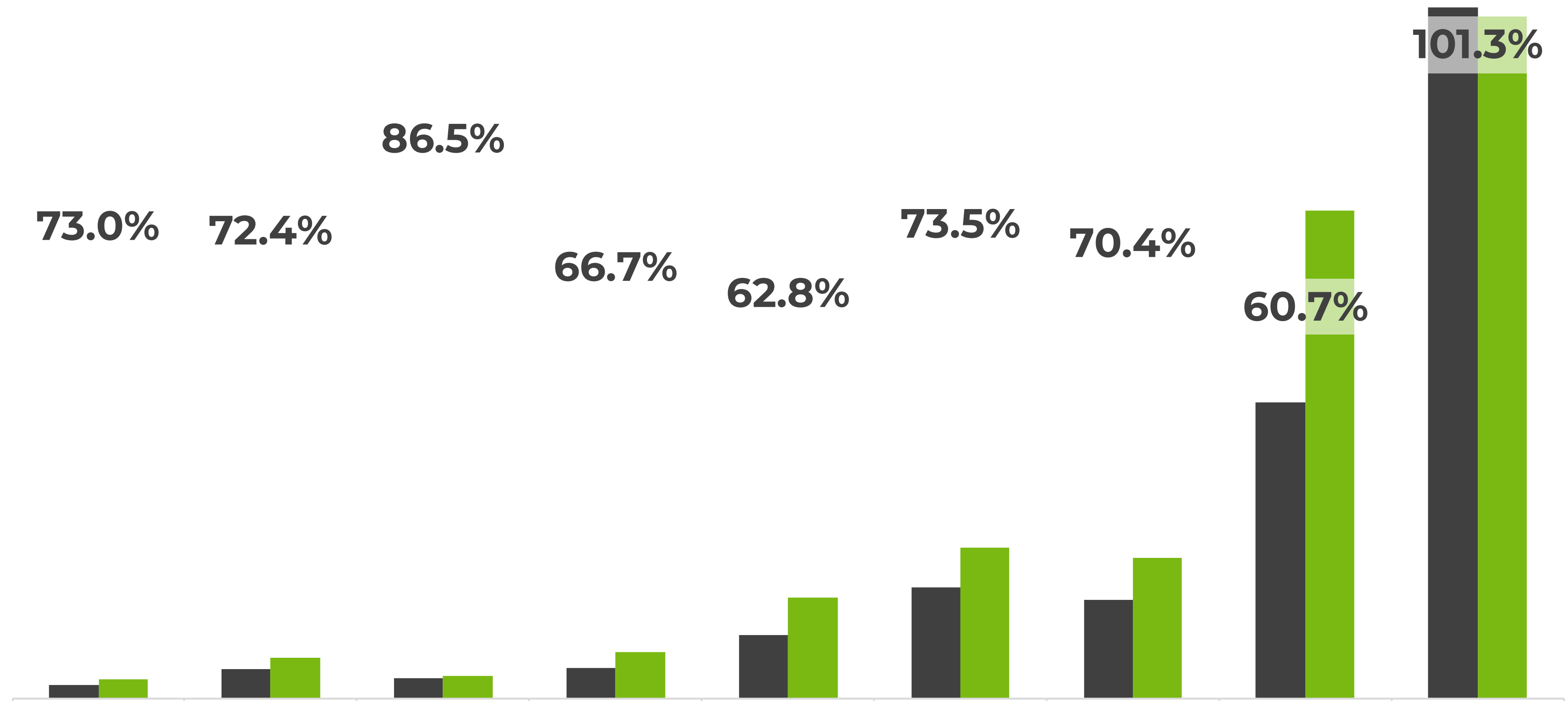
YEARLY RESULTS





	2017	2018	2019	2020	2021	2022	2023	2024	2025
OEM & IP	698	778	767	505	631	1,162	455	306	389
Auto	487	558	641	700	536	566	903	1,091	1,694
Datacenter	830	1,932	2,932	2,983	6,696	10,613	15,005	47,525	115,186
Professional Visualization	835	933	1,130	1,212	1,053	2,111	1,544	1,553	1,878
Gaming	4,060	5,513	6,246	5,518	7,759	12,462	9,067	10,447	11,350

YEARLY CLOSE INSTRINSIC VALUE



	Q4 2017	Q4 2018	Q4 2019	Q4 2020	Q4 2021	Q4 2022	Q4 2023	Q4 2024	Q4 2025
PRICE	2.79	6.08	4.00	6.26	12.99	22.84	20.37	61.03	142.62
INSTRINSIC VALUE	3.83	8.41	4.63	9.39	20.70	31.09	28.94	100.60	140.84
Value/ Price	73.0%	72.4%	86.5%	66.7%	62.8%	73.5%	70.4%	60.7%	101.3%

PRICE INSTRINSIC VALUE Value/ Price

Adjusted all values for 10:1 split in Q1 2025